

The Political Coase Theorem and the Peaceful Domain Abolition of 1871 in Meiji Japan

Authors: David Crego¹ & Jedediah Pida-Reese²

ABSTRACT

This paper applies the Political Coase Theorem to explain why Japan's 1871 abolition of the feudal domains (*haihan chiken*) occurred peacefully despite the central government and local elites both being armed with a large hereditary warrior class. We argue that the Meiji government and the *daimyo* reached a Coasean bargain that exchanged local sovereignty for credible compensation. Facing mutual fiscal crises, both sides benefited from an agreement in which the state assumed domain debts and granted new nobility status (*kazoku* titles), stipends, and government offices as institutionalized side payments in exchange for sole ownership over tax collection. These arrangements transformed former rivals into stakeholders and made the new centralized regime self-enforcing. By embedding elite privileges within emerging political institutions, the Japanese case demonstrates how credible commitment can arise through elite status incorporation.

¹David Crego, dcrego@ttu.edu, Texas Tech University, Lubbock, USA

²Jedediah Pida-Reese, jedpidareese@creighton.edu, Creighton University, Omaha, USA

1. INTRODUCTION

One of the most striking episodes of Japan's institutional transformation during the Meiji period (ca. 1869–1912) was the peaceful abolition of the domains (*haiban chiken*) in 1871. In less than two years, the Meiji state dismantled a centuries-old system of feudal governance by abolishing the fiscal autonomy of local elites and eliminating their claims to tax revenue. The local elites, the *daimyo*, relinquished their fiefs and tax rights in exchange for pensions, nobility titles, and offices within the new imperial order. The peaceful nature of this transition suggests that the institutional change was mutually beneficial. If the *daimyo* had perceived the centralization process as purely extractive, they could have resisted militarily as they did only a few years earlier during the Boshin War (ca. 1868–1869). Instead, they accepted the Meiji state's terms, suggesting that both sides perceived credible gains from cooperation.

The rapid and successful political unification of the country raises a striking question. How was Japan able to overcome both the transitional gains trap and credible commitment problem? These problems in political economy beleaguer many other countries' reform attempts. Meiji Japan escaped both traps, and we argue that it did so because political power was dispersed rather than concentrated, which incentivizes greater political bargaining.

Before domain abolition, local domain rulers (*daimyo*) held valuable political assets. They controlled tax collection and disbursement within their territory, they owned their own private armies, and they held great social and cultural prestige. Yet, the *daimyo* bargained with the nascent central government to relinquish these claims. We analyze in this paper how increasing fiscal pressure on both the autonomous *daimyo* and the central government overcame the transitional gains trap (Tullock 1975) by devaluing the present value of political assets, and we discuss how the Meiji Restoration resolved the credible commitment problem (Acemoglu 2003; Greif, Milgrom, and Weingast 1994) by inadvertently dispersing political power among four major factions: the court nobility including the emperor, the high ranking Restoration retainers who campaigned for reform, the Restoration *daimyo* who funded the new government, and the autonomous *daimyo* who held *de facto* control over most of the country's economic and military resources.

We treat the right to govern as a bundle of political property rights (Salter 2015a, 2015b; Piano and Salter 2021; Salter and Young 2019). Political property rights determine who gets the revenues from governance and take the form of claims on tax revenue, control over the military, role in political decision-making, etc. In early Meiji Japan, no single faction held enough of these rights to act alone. The Political Coase Theorem (PCT) extends the Coasean logic of bargaining to political settings. If transaction costs are sufficiently low and property rights are well-defined then political actors will negotiate efficient institutional arrangements rather than resort to conflict regardless of the initial allocation of property rights. However, Acemoglu (2003) argues that high transaction costs, particularly the absence of credible commitment mechanisms, make PCT applications exceedingly rare.¹ Rulers often face a commitment problem: they must convince powerful local elites to surrender resources or authority in exchange for future benefits that the ruler could later renege on. If rulers provide a credible commitment to share the gains from cooperation, local elites prefer peaceful bargaining over conflict (Weingast 1997; Garfias 2019; Leeson and Suarez 2016). However, such cooperation requires institutional mechanisms that enforce credible commitments and constrain future opportunism. Recent work discusses how PCT can practically be applied (Munger 2017; Robson 2014; Balestri 2016; Lai 2024; Medema 2020; Holcombe 2018).

We investigate the early Meiji period (before the 1890 Constitution), because this is the pivotal period of political development that would determine whether or not Japan would reform into a nation state or remain a feudal country. Despite the grandiose language of the Imperial Restoration coalition, the Meiji government inherited the previous Tokugawa political system of dispersed and decentralized political power. From this setting, we analyze how the Meiji state overcame the transitional gains trap and credible commitment problem. We discuss domain abolition in 1871 as the test case to understand the mechanisms in overcoming these traps.

Meiji Japan's case presents a situation of bargaining between two armed elite groups: the central government and the various

¹Galiani et al. (2014) provide experimental support for Acemoglu's claim that commitment problems undermine PCT applications.

domain rulers across the country. The Meiji oligarchs, though victorious in the civil war, faced the problem of consolidating power without reigniting rebellion. The *daimyo*, in turn, faced declining revenues, rising debt burdens, and eroding military strength. The declining fortunes of both the Meiji government and *daimyo* opened the possibility of mutually advantageous exchange, mitigating the transitional gains trap. The dispersed political power resulted in political bargaining between the various political factions, overcoming the credible commitment problem when designing the new Imperial state. In domain abolition, the Meiji state credibly committed to compensate local elites through privileges, ranks, and government inclusion. The new arrangement effectively transformed the *daimyo* from autonomous rulers into stakeholders in a unified polity. In this sense, the domain abolition was not a confiscation but a negotiated exchange: the *daimyo* traded fiscal sovereignty for status, security, and participation in the new government.

2. THE TOKUGAWA POLITICAL SYSTEM

The shogunate exercised supreme authority over the affairs of the realm as a whole, but it left the taxation and internal government of the country's some two hundred and sixty domains to the domains themselves (Ravina 1999, 16, 23–24; Gordon 2003, 13). The shogunate—the military government, or *bakufu*, of the Tokugawa house, whose head held the hereditary title of shogun and governed from Edo (now Tokyo) in the emperor's name, while the imperial court remained at Kyoto—monopolized the business that crossed domain borders: foreign relations, the great cities of Edo, Osaka, and Kyoto, the highways, and the realm's gold and silver coin (Jansen 2000, 49, 60; Komuro and Gramlich-Oka 2024, 276). It was the largest landholder by far, with its house lands about a quarter of the country (Jansen 2000, 42; Craig 1961, 15). But it did not tax the domains (Gordon 2003, 13; Koyama, Moriguchi, and Sng 2018, 184). Each domain (*han*) was held by a hereditary lord, or *daimyō*, who within his own borders assessed and collected his taxes, judged his subjects, kept his own army, and even issued his own paper money and copper cash (Jansen 2000, 53; Ravina 2017, 37; Craig 1961, 3). The lords were graded by their relation to the Tokugawa—collateral branches (*shinpan*), hereditary vassals (*fudai*), and the “outside lords” (*tozama*) who had submitted only after the Tokugawa victory at Sekigahara in 1600 (Jansen 2000, 42). Each ruled a domain rated by the annual yield of its land in *koku* of rice, a figure called the *kokudaka*.² The result was less a single state than a union of many states—a “compound state,” or a “Tokugawa federalism”: a strong central government set over domains whose greatest lords, within their own borders, ruled as petty sovereigns (Ravina 1999, 3, 5, 27).

The shogunate was set apart from the lords it presided over by how it paid for its rule. It financed its government from the Tokugawa house's own lands and formally taxed no domain (Beasley 1972, 17–19). The shogun was a *primus inter pares*, first among the lords and, like any of them, dependent for revenue on his own lands alone (Jansen 1989, 1). When that base strained, as it did from the 1690s, the shogunate took the difference from its own mints and its own city merchants—recoinage for seigniorage, forced loans from the brokers of Osaka and Edo—not from the domains' treasuries (Komuro and Gramlich-Oka 2024, 276; Crawcour 1989, 598). The governing body and the realm's largest fief were thus one house, and the center owed its income to no other lord. In place of taxes, the shogunate commanded service from the domains. Alternate attendance (*sankin-kōtai*)—the enforced biennial rotation that held every *daimyō* and his family in Edo—was the surest instrument of the shogun's control, and it consumed between forty and seventy percent of a domain's budget (Roberts 1998, 18; Beasley 1972, 17). By one calculation it took closer to four-fifths of the disposable cash revenue (Beasley 1972, 46–47). The domains also owed the labor and troops the shogun's castles and campaigns required, burdens they bore as his vassals—and from 1720 the river-work levies among them were collected in cash, scaled to a domain's rated holdings (Ravina 1999, 2, 196; Roberts 1998, 52; Ravina 2017, 49). Such requisitions were the nearest thing to a tax the Tokugawa ever laid on the *daimyō* (Gordon 2003, 13). When in 1721 the shogun did order a direct levy of one percent on *daimyō* income, the tax was without precedent, for unlike the service levies it implied a Tokugawa claim on lands beyond the house's own—a claim the shogunate did not normally make (Ravina 2017, 49). The shogunate could thus force the domains to spend their wealth in its service, yet it depended on no domain for its own revenue. Command, however, was not ownership, and the taxes, the troops, and the

²One *koku*—about 180 liters of rice, the notional year's subsistence for one adult—was the standard measure of land, wealth, and tax in Tokugawa Japan.

rights of rule remained the daimyō's.

By the 1860s those rights had become, for most of the class, a liability rather than a prize. The right of rule came bound to obligations that could not be shed, of which the heaviest was the hereditary stipend. The daimyō's samurai were less a landed gentry than a hereditary service class, paid by rank—in most domains from the lord's storehouse, in the greatest also from assigned fiefs—with the stipend passing to a retainer's heirs whether or not his service was needed (Ravina 1999, 62–67, 195; Gordon 2003, 15, 41). Those stipends alone took more than half of a domain's spending, close to seventy percent with the lord's own salary included (Nakamura 1985, 53). The shares had been fixed almost at the order's founding and never moved: in Chōshū the vassals' fiefs and stipends claimed the taxes on fifty-four percent of the domain's product in 1643 and on fifty-four percent still in 1840—another fifth went to Chōshū's branch domains—while the taxes left to the domain government came to eight percent of the gross product in both years (Craig 1961, 39–40). The cost of alternate attendance ran alongside the stipends. The shogunate enforced that drain partly by design, to keep its lords too poor to challenge it—a policy that largely succeeded (Beasley 1972, 46). Revenue could not rise to meet these charges. A domain's *kokudaka* had been fixed early in the seventeenth century, altered only by the rare re-rating a shogun bestowed as reward or punishment (Howell 2024, 101). Otherwise it was left unrevised, because a general revision would have reordered each lord's standing among his peers and unsettled the whole hierarchy (Jansen 2000, 38–39). The village surveys and tax rates on which collections actually rested ceased, with rare exceptions, to be revised from about 1700 (Smith 1958, 5, 7). The commercial economy grew around a base that drifted ever further from real productive capacity as the period wore on (Smith 1958, 10). The development the state had itself fostered was eroding the fiscal base of its own hierarchy—a contradiction built into the Tokugawa state itself (Paramore 2024, 62). Whatever gains the right of rule had carried when the first shoguns granted it had been spent within the order's first century. The stipend rolls and the costs of attendance at Edo had absorbed them, and the frozen assessments kept them from being rebuilt. A nineteenth-century lord inherited not his ancestors' returns but the office and its charges. The shortfall hardened into a debt that spared almost no domain (Ravina 1999, 69). By 1700 more than half the domains could meet their budgets only by borrowing from the merchants of Osaka and Kyoto (Craig 1961, 39). A century later, the political economist Honda Toshiaki could find “not one [daimyō] who has not borrowed from the merchants” (Jansen 2000, 250–51). The devices domains used to stay afloat show how far the insolvency had gone: paper money issued until it lost its value, forced “loans” on merchants and commoners that were seldom repaid, the cutting and withholding of the samurai's own stipends, and the sale of samurai rank itself, some domains attaching a stated price to each privilege of the status (Ravina 1999, 59–61, 74–75; Roberts 1998, 92–95). Most domains could not escape the debt through growth, and it deepened with every generation.

The debt ran deep, and it ran across the whole class—great domains and small, southwest and northeast alike. The forced “borrowing” from retainers' stipends ran from a tenth of their pay to half or more (Yamamura 1974, 131). The deficits had set in generations before the Restoration. By the 1750s a good year could no longer keep a domain solvent: Hachinohe, a small northern domain, ran a deficit even in the abundant harvest of 1754, taking in 4,116 *ryō* against 5,366 in expense (Yamamura 1974, 131).³ Insolvency reached the largest houses as readily as the smallest. Kumamoto, a great southwestern domain, fell insolvent in the 1750s when its Osaka financier closed the account on annual deficits of seventy to eighty thousand koku (Ravina 1999, 61). Even Kaga, the realm's largest domain at over a million koku, had sunk by the mid-eighteenth century into deep fiscal trouble (Nishikawa and Amano 2004, 258–59). The strain only deepened into the nineteenth century. The debt of Hirosaki, another northern domain, rose from three hundred thousand to five hundred thousand *ryō* in the five years to 1830, and its retrenchment in the Tenpō era—the crisis decade of the 1830s—then cut the highest stipends by some three-quarters (Ravina 1999, 148, 151). Takamatsu, on the island of Shikoku, suspended repayment to its Edo and Kyoto creditors for three years, compelled its own people to surrender ten thousand koku of rice and fifty thousand *ryō* of gold, and devalued its paper money by ninety percent (Nishikawa and Amano 2004, 261–62). By about 1840 a contemporary could reckon the domains' debts, in aggregate, at some sixty million *ryō* of gold, with their service charges alone consuming three-quarters of the rice shipped each year to the Osaka market—the daimyō, by this reckoning, had been reduced to caretakers for the financiers, who were the realm's true masters (Beasley 1972, 51).

³The *ryō* was the realm's principal gold coin.

The domains that pulled clear of insolvency mostly did so by defaulting on creditors and cutting retainers' stipends, not by any return the right of rule still yielded. Satsuma, owing nearly five million *ryō*, repudiated the debt outright: the scheme its reformer imposed repaid creditors without interest across two hundred and fifty years and bankrupted several Osaka merchant houses, and the merchants had no court to which they could appeal (Ravina 2017, 70; Ravina 1999, 61; Craig 1961, 70–71). Chōshū, withholding up to half its samurai's pay since 1704, spent the Tenpō years fighting what its reformer called “the 80,000 *kan* great enemy,” and by 1838 had quietly stopped paying a third of the debt (Craig 1961, 43–44, 49, 55).⁴ There were genuine recoveries: Tosa's finances, rebuilt after 1787, carried debts of only half a year's income by 1852, a case that ran against the general picture of domain insolvency (Roberts 1998, 96–98). But they were the exceptions, and the strongest houses had bought their recoveries by default and by docking their own retainers' stipends. For most of the class the right of rule had come to cost more than it returned, and the samurai it maintained—all but the fraction in office—were becoming, in the central provinces at least, men the domain supported who produced nothing in return (Jansen 2000, 255). Yet a right that returned nothing remained ruinous to lose. The grant was a bundle—the house's rank, the lord's own salary, and the hereditary roll of retainers fed from the domain's storehouse—and a domain left a house only by the shogun's act: attainder, which took everything, or transfer, which exchanged the fief for whatever the shogun chose to grant in its place (Ravina 2017, 37; Gordon 2003, 13). A lord who was stripped of the right lost his standing and his retainers' livelihoods; a lord who kept it went on running deficits. The class therefore held on. Even the wish to be rid of the office was on record: on the eve of the Restoration the heir of Tokushima, Hachisuka Mochiaki, confessed to Ernest Satow of the British legation that he privately meant to abdicate (Ravina 1999, 203).⁵ But abdication only passed the office down within the house, and nothing a lord could do would turn the right into money. To sell the domain—its land, its warriors, and its debts together—for an income clear of those charges would have profited nearly any holder by the 1860s. This is a transitional-gains trap. The gains from a state-created privilege go to its first holders; by the time their successors inherit, the gain has been “completely 'sunk,'” but the possibility of large transitional losses remains,” so the holders defend an arrangement that no longer pays them; and the direct escape—buying the holders out—ordinarily founders on the transaction costs of arranging the purchase (Tullock 1975, 672, 675). Tullock's trapped industries lacked a workable buyback; the daimyō lacked a buyer of any kind.

The Tokugawa order furnished neither a market for the daimyō's right of rule nor a party who could be bound to a bargain over it. The one power that might have absorbed a lord's domain was the shogunate, and the shogunate could be held to nothing, though not for lack of courts. Its high court, the *Hyōjōshō*, heard one domain's appeals against another (Jansen 2000, 60). Quarrels that crossed a domain's borders were to be heard by the shogunate's courts in Edo (Jansen 1989, 83). The courts' reach ran even into a domain's own commerce: when an Osaka cartel sued Tokushima over its indigo trade in 1766, the shogun's magistrate ruled against the domain, and in time it complied (Ravina 2017, 45). But these were the shogun's courts. A lord could carry a suit against another lord to Edo, but he had no forum in which to carry one against the shogun himself. The one authority that stood above him, the emperor, had been barred from politics by the early shoguns and left with only religious and ceremonial functions (Ravina 2017, 39). He could sanction the shogun's title but offered no court to which a grievance against the shogun could be brought.

There was also no market through which such a bargain could have passed, for the right of rule was not the daimyō's to sell. He did not own his domain; he held it in trust.⁶ It came to him by the shogun's grant, and its extent was fixed on a vermilion-seal certificate of investiture (Ravina 1999, 36). The holding passed to his heirs, for an investiture was part of the house's patrimony, carried down from one head to the next across generations (Ravina 1999, 37). But although a house could inherit the holding, its head could not sell it. The daimyō held their domains only as trustees, and the holding was renewed at each succession by a sworn oath to the new shogun (Jansen 2000, 54). One lord warned his heir that a domain was something entrusted to the daimyō to manage for his descendants, never his own to keep or sell (Ravina 1999, 30). The bond was personal and could not be assigned, tying a vassal to one particular lord (Ravina 1999, 36). The right of rule was

⁴The *kan* was a large measure of silver by weight, about 3.75 kilograms.

⁵Hachisuka Mochiaki, later daimyō of Tokushima, petitioned in 1870–71 for the dissolution of all domains; freed by abolition, he studied at Oxford and later served as ambassador to France and minister of education (Ravina 2017, 131–32; Ravina 1999, 203–4).

⁶Ownership is used here in the narrow sense that includes the right of alienation; in the broader sense of residual control the daimyō did own the domain (Koyama, Moriguchi, and Sng 2018, 184).

therefore a lord's own sworn relation to the shogun, and it could pass to no buyer who had himself sworn nothing. What the shogun had granted in fief remained the shogun's to bestow, and the lord had no power to convey it away (Roberts 1998, 5).

Domains changed hands constantly, but never by sale. The shogun stripped daimyō of their domains for offenses real and invented, moved holdings from one lord to another, raised and lowered official yields, and elevated new men to the rank (Howell 2024, 101; Ravina 2017, 37–39). Every move in this ceaseless reshuffling came from above, by command. The lord was only ever the object of these transfers, moved at the shogun's decision: the shogun confiscated, granted, enlarged, reduced, and even ordered domains traded between lords, and in none of it did a price change hands or the holder's consent enter (Gordon 2003, 13; Howell 2024, 101). Even a transfer that took the form of an exchange came by command, on terms the shogun set. In 1843 the shogunate ordered every daimyō holding land around Edo and Osaka to surrender it and take poorer land in return—the “order to return the land” (*agechi-rei*)—seeking to reclaim for itself, at the lords' expense, land it had itself granted them in fief (Bolitho 1989, 154). Tokugawa Japan did have a market in land—a peasant's field was bought, sold, and transferred among villagers—but the daimyō's right of rule stood wholly outside it (Smith 1958, 12–13). A lord who would have traded his domain for a settled income thus had nothing he could sell and no one who could buy. The domain was not a possession he could convey; there was no market in which to convey it; and the one power that could have taken it, the shogunate, confiscated and granted domains but never bought one.

By the nineteenth century even the shogun's power to rearrange the domains had begun to fail. His commands were no longer reliably obeyed, and they issued more and more rarely. Between 1808 and 1835 the shogunate stripped no daimyō of his domain (Ravina 2017, 38). Against the greatest houses the power had lapsed far earlier: the “country lords” (*kunimochi*), whose holdings spanned whole provinces, went almost wholly untouched by attainder or transfer. In the two centuries after 1650 the shogunate moved against a great *tozama* house only twice, and the second instance—a reduction decreed in 1866 against the Mōri, the house that held Chōshū—never took effect, because the shogunate fell first (Ravina 1999, 21). When in 1840 it ordered the lord of Shōnai to exchange his domain for another half its size, the transfer could not be enforced and was canceled after protests from commoners, merchants, retainers, and twenty-seven *tozama* lords (Jansen 2000, 59). The *agechi-rei*, that same 1843 order to return the land, failed like the rest: the edicts were revoked within weeks, and their architect, the shogun's chief minister Mizuno Tadakuni, fell from power (Ravina 2017, 69; Bolitho 1989, 163). Such resistance won the daimyō only the power to keep their domains, not the power to sell them. The right of rule was now fixed from every side. A privilege turned liability sat immovable in the hands of men who would have parted with it for a price and fought to keep it from being taken for nothing, with no channel—market, court, or command—through which it could pass to another or be dissolved. That daimyō and the shogun's own bannermen could block the transfer showed that the very stability of the compound state precluded a nation-state (Ravina 2017, 69). The trap could be broken only by overturning the order that had set it.

3. THE MEIJI RESTORATION AND THE INTERIM GOVERNMENT

The Tokugawa order was overturned in 1868, and the concentration of national authority fell with it; nothing replaced that concentration. In a palace coup on January 3, Satsuma-led troops seized the imperial palace in Kyoto; the court proclaimed the restoration of direct imperial rule (*ōsei fukko*) and ordered the shogun to surrender his lands and his powers (Jansen 2000, 312). The civil war that followed, the Boshin War, broke the shogun's forces and ran until the last of his adherents surrendered in the far north in the spring of 1869 (Gordon 2003, 59; Jansen 2000, 312; Ravina 2017, 127).⁷ But the shogunate had fallen to a coalition of powerful domains with Satsuma and Chōshū at its head (Craig 1961, 371). Effective control of the new government belonged to the forces of Satsuma and Chōshū and to their leaders; lords from the other domains were received only as guests (Craig 1961, 347). Those two held the government between them, and neither could take it alone: they had been enemies until their alliance of 1866, and even then their retainers carried the old hostility into the victory (Gordon 2003, 57; Craig 1961, 344). The rest of the country, moreover, would not accept the mastery of either. The new

⁷The Boshin War (1868–69) was the civil war between the new imperial government and the domains and vassals who stood by the Tokugawa; the last of them surrendered in the far north in the spring of 1869 (Gordon 2003, 59; Ravina 2017, 127).

regime's first task was to prove itself something other than a Satsuma-run shogunate (Jansen 2000, 336). Its rivals feared exactly that outcome—a new shogunate in all but name, a narrow faction ruling through the emperor (Gordon 2003, 61). A lord who reached for that position would have broken the coalition his power rested on and reopened the war he had just won. He could not fall back on the shogun's office either. The overthrow had been made in the emperor's name and against the shogunate itself, so rule now had to center on the emperor, and no victor could take the shogun's place; Satsuma came nearest and still could not take it (Beasley 1989, 618). The new government stepped into nothing more than the shogunate's former standing; the land itself—three-quarters of the country—remained parceled among some two hundred and sixty daimyō, each still collecting his own taxes and keeping his own troops (Banno 2014, 46; Ravina 1999, 16). National authority had rested in one house; now it was dispersed among several parties, none of which could rule alone.

The several parties that now shared national authority sorted into four factions whose holdings were complementary and whose interests were opposed—an alignment the Restoration had newly drawn across the ranks of the old order. The imperial court and the boy emperor Mutsuhito held legitimacy: rule was claimed in the emperor's name, a sanction none of the samurai factions could supply for itself (Jansen 2000, 336, 343).⁸ The middling-rank retainers who filled the offices held the running of the state—an administrative competence the high-born court nobles set over them lacked (Umegaki 1988, 83; Gordon 2003, 75–76). The lords of the Restoration domains held the money and the troops, for the government kept no army of its own and no revenue beyond the old shogunal lands (Jansen 2000, 340; Hackett 1971, 55). And the great body of autonomous daimyō outside the ruling coalition held the realm itself—the land, the taxes, and the soldiers of most of the country (Beasley 1989, 625; Hackett 1971, 55). Because each faction's strength was another's dependence, none could dispossess another without losing what it could not replace. The men who made the government had to bargain with one another and with the lords they still served (Beasley 1989, 627). The factions could do only by agreement what the shogun had done by command.

Of the four holdings, the court's was the one no faction could take for itself. The court's authority, ornamental under the old order—it sanctioned the shogun's title and was barred from politics—was now the warrant for every act of state. The emperor's blessing counted for anything only so long as he stood above every faction; a lord who seized the throne to rule in his own name would have turned him into a puppet and voided the very sanction he sought. Every party in the field, victor and rival alike, had to seek that sanction from him (Umegaki 1988, 3). The sanction required not the emperor's consent but physical possession of his person: the coup itself had turned on seizing the emperor—“If we are robbed of the jewel,” the Chōshū leader Kido Takayoshi said of him, “we shall be helpless indeed” (Beasley 1972, 285).⁹ But possession was the coalition's jointly. No single lord held the emperor, and none ruled in his own name. Having staked their authority on his name, the leaders could not then set the throne aside without dissolving the claim they ruled by; an act done in the emperor's name made opposing it an offense against the throne itself (Beasley 1989, 624). Yet legitimacy was all the court held. It fielded no army and raised no revenue; its strength was whatever the military houses chose to lend it, and the boy emperor served to hold up a regime the court did not run (Umegaki 1988, 55; Beasley 1989, 624). Its nobles were pushed to the margins of the councils, and even the two who rose—Iwakura Tomomi and Sanjō Sanetomi—did so by brokering between Satsuma and Chōshū (Jansen 2000, 342; Beasley 1972, 318).¹⁰ The faction that could raise no soldiers and staff no ministry was still the one the others could not do without, because the authority the others wielded was borrowed from the court.

The running of the state belonged not to the lords but to their retainers, and what these men held came to set them against the houses that had raised them. They were middling and lower samurai, a “frustrated subelite”: salaried men, insecure in their

⁸Mutsuhito, a boy at the Restoration, was the emperor in whose name the new government ruled; his reign gave the Meiji era its name.

⁹Kido Takayoshi (1833–77), earlier known as Katsura Kogorō, was born to an official physician in Chōshū and adopted into a samurai house. A loyalist, he and Takasugi Shinsaku directed the domain's affairs from 1865; after the Restoration he stood among the first men of the new government, and the 1869 return of the registers began as his project (Beasley 1972, 433; Umegaki 1988, 58–62).

¹⁰Iwakura Tomomi (1825–83) came from the middle ranks of the court nobility and had held nothing higher than small court offices before 1868. In the new government he rose to its center, an ally of Satsuma and of Ōkubo above all; he sat as Minister of the Right in the Council of State from 1871 and headed the embassy sent to America and Europe in 1871–73 (Beasley 1972, 433; Ravina 2017, 133). Sanjō Sanetomi (1837–91), a court noble who sided with the loyalists, spent the years from 1863 in exile, first in Chōshū and then in Kyūshū. The Restoration ended his exile; he rose to the head of the new government, and from 1871 presided over the Council of State as Grand Minister (Beasley 1972, 437; Ravina 2017, 133).

places, whose ambitions their birth had blocked (Gordon 2003, 75–76). The retainer who would build the government's army, Yamagata Aritomo, was the son of a *chūgen*, the lowest rank among Chōshū's lesser vassals (Hackett 1971, 3).¹¹ The court nobles brought in to govern could do no more than acquiesce (Umegaki 1988, 83). The ministries that mattered required a competence the Restoration movement's activists seldom had, so the work fell to the retainers who could supply it (Oka 1986, 48). Of the samurai staffing the early central government, a full third were *chōshi*—retainers called into imperial office in the emperor's name rather than sent up by their lords (Umegaki 1988, 94). The retainers' interest was not their lords' interest. The men in office were reformers, and the reformer's asset was the central state, which gained value as the domains lost theirs; the lord's asset was the domain, which the reformers' own project would dissolve. That divergence widened as the project advanced, until by 1871 the Chōshū reformers were ready to propose ending every feudal domain in the country—the holdings their own lords lived by (Umegaki 1988, 72). The men who ran the state had come to serve it above the houses that had raised them.

The money and the troops stayed with the lords of the Restoration domains, not with the retainers who ran the state. The government the retainers ran held the offices and the emperor's name. It had no army and no revenue of its own: nothing that could be called a national tax, only receipts coming in through several thousand distinct local systems, and—even in 1871—no national army beyond a single Imperial Guard (Ravina 2017, 136). The old shogunate had commanded service from the domains while owing its revenue to no lord; this government held the offices while the soldiers stayed with the lords, and with nothing to enforce a command it could only ask them for men. A center whose only soldiers were borrowed from the domains could not take the domains by force. Whatever it meant to do with the domains, it would have to do by agreement—and not with Satsuma, Chōshū, and Tosa alone, whose soldiers it borrowed, but with the far larger body of lords who had lent nothing and still held most of the country.

The last and largest faction was the lords who had taken no leading part in the Restoration—the great body of the daimyō, who still held the realm. The country's some two hundred and sixty daimyō ruled three-quarters of it, in domains that ran from ten thousand koku to over a million, and nearly all of them belonged to this faction (Ravina 1999, 16). Even after they returned the registers of their lands and people to the throne in 1869 (*hanseki hōkan*, the return of the registers), as governors they held their territories as before, collected their own taxes, and kept their own soldiers (Hackett 1971, 55). This faction lay beyond the government's reach. The government's authority extended only over the old shogunal lands; the rest of the country was the daimyō's, spread across the whole map, and there the government could only seek their cooperation (Beasley 1989, 625). Yamagata Aritomo, who was building the army that would make the abolition of the domains enforceable, acknowledged that in 1870 the government was still too weak to impose any such measure, and that the right moment had to be awaited (Hackett 1971, 55). Yet the faction best placed to block abolition had the least reason to block it. Most domains now cost their holders more than they returned. The fiscal strain that had deepened for generations was now at its worst. Their spending across 1868–71 outran revenue by about fifteen percent a year, and roughly a third of them carried deficits near a full year's income (Ravina 1999, 205). In 1870 the hardest-pressed of them began asking the government to dissolve their domains outright (Umegaki 1988, 98). The common hope, even so, was still to salvage a domain rather than surrender it (Ravina 1999, 205). Whether a lord could afford to let his domain go—an act that would have ruined him under the old order—depended on the terms of surrender, and those terms had been fixed in 1869.

These four holdings checked one another at two levels. At the first level, no faction could master the others, because each held what the rest could not do without and could not seize without destroying: the court's sanction, the reformers' administration, the Restoration lords' money and troops, the daimyō's realm. The second level lay inside the ruling coalition itself. The men who staffed the state came from the four victorious domains—Satsuma, Chōshū, Tosa, and Hizen—and those domains were rivals; the deepest distrust divided the two greatest. A Tosa councillor recorded in his diary that no trust ran between the Satsuma and Chōshū men, and that Sanjō Sanetomi and Iwakura Tomomi, wary of both, would deal with each only through go-betweens (Jansen 2000, 347). A Tosa officer kept his own troops ready “for the day when hell breaks loose between

¹¹Yamagata Aritomo (1838–1922), a Chōshū man of low birth who had commanded the Kiheitai militia and backed the seizure of the domain in 1865, built the new imperial army; he rose to be one of the dominant figures of late Meiji Japan, prime minister and an elder statesman (*genrō*) (Hackett 1971, 3, 57; Beasley 1972, 438).

Satsuma and Chōshū” (Orbach 2017, 32). This inner rivalry checked the government because the government’s force was borrowed from the rivals themselves; the one army it ever assembled, the Imperial Guard, was lent to it by Satsuma, Chōshū, and Tosa (Hackett 1971, 58). The Satsuma leader Ōkubo Toshimichi judged that the state’s life hung on Satsuma and Chōshū together and would be cut short if they fell out (Jansen 2000, 347).¹² There was, then, no unified actor anywhere in the system. Neither a single faction nor the coalition that ran the state could impose its will by command. A single faction lacked what the others held, and the ruling coalition was divided within itself, so that the government it ran had only borrowed troops.

Both checks ran through the government’s own offices, which were divided among the factions rather than staffed to run the country. When the first council was formed in January 1868, the lords of five domains—Satsuma, Tosa, Aki, Owari, and Fukui—sat on it as senior councillors, and each of those domains was to supply three of its samurai as junior councillors, so a lord brought his own men into office with him (Beasley 1972, 291). Chōshū and Hizen were not on that first council, and both were seated in the months that followed (Beasley 1972, 291, 317). The four domains that would come to hold the government between them were not yet acting as a group. Court nobles were seated for the public standing their names lent the regime, and daimyō were seated for the backing of their houses (Beasley 1989, 627). Even the system put in place after the war dealt posts to nobles, to great lords, and to the domains beyond Satsuma and Chōshū to hold a balance among them, rather than to reward ability (Banno 2014, 50). The men who made the government had nothing else to pay their coalition with, and so they paid in offices. The domains treated office in the government as something owed to them. Kido Takayoshi complained that opinion in Chōshū “focuses exclusively on advantages which come to Chōshū from the Imperial Government” (Kido 1983, 1:119). The government was filled with the factions’ men; it had no men of its own.

Inside the government’s offices, the factions sat in tiers. On the first roster of offices, drawn up in the spring of 1868, imperial princes and senior court nobles headed the bureaus, lords of houses such as Fukui and Uwajima sat below them, and samurai of the victorious domains filled the working ranks (*Meiji shiyō* 1886, 3 suppl.:1). The heads lent the offices the court’s authority, the lords lent them the backing of their houses, and the samurai did the work. The lords of Satsuma and Tosa sat on the council itself with nothing to administer, while Ōkubo Toshimichi and Kido Takayoshi held administrative posts (*Meiji shiyō* 1886, 3 suppl.:1). The tier order ran through the victor houses themselves. The same order held through every later structure down to the abolition of the domains: court nobles and lords headed the ministries, and their samurai deputies ran them (Beasley 1972, 336; Beasley 1989, 641).

The factional sharing of office—though not the tier order—lasted only as long as the war that had made it necessary. The seats had been dealt out to hold the coalition together against the shogunate. Once the shogunate was beaten there was no more cohesion to pay for, and the lords lost their places to samurai (Beasley 1989, 625–27). Most lords were out of the central government by 1869—Yamauchi Toyoshige of Tosa and Shimazu Tadayoshi of Satsuma among them—while the few who stayed, the lords of Hizen, Uwajima, and Fukui, held office until the domains were abolished (Beasley 1972, 319). After the reorganization of August 15, 1869—three weeks after the government accepted the surrendered registers—the executive, renamed the Council of State (*Daijōkan*), kept court nobles at its head, and its councillors were all samurai of the four victor domains (Beasley 1972, 336; Beasley 1989, 641). By 1869, then, the offices joined the court’s legitimacy to the reformers’ administration and held nothing else. The money and the troops stayed with the Restoration lords, and the realm with the great body of the daimyō; neither sort of lord now sat among the government’s councillors, and both ruled their own domains as its appointed governors (Hackett 1971, 55). Seats could not have captured the money, the troops, or the realm. A lord’s council seat had never obliged his domain to give the government anything, and neither had his governorship. The governors ruled as before, and the center still had to ask them for taxes and for soldiers (Hackett 1971, 55).

The government could not command even the men who did fill its offices. A samurai official’s standing came from the domain that had sent him up, not from the seat he occupied, and the strongest domains could defy the government on its own ground and go unpunished. Between the autumn of 1869 and the summer of 1870, two of the government’s own

¹²Ōkubo Toshimichi (1830–78), a Satsuma samurai, ran the domain beside Saigō from 1864. After the split of 1873 he was the strongest man in the government, and he died by assassination in 1878 (Beasley 1972, 436; Jansen 2000, 347).

appointees—Matsukata Masayoshi of Satsuma, governor of Hita, and Maebara Issei of Chōshū, governor of Echigo, both administering prefectures the government itself controlled—refused to carry out the central ministries’ orders, and the ministries could not compel them, because each had one of the two greatest domains at his back (Umegaki 1988, 114–16).¹³ Governors from small domains or from the court nobility were dismissed outright for the same defiance the Satsuma and Chōshū men committed freely (Umegaki 1988, 125). The government could discipline an official only where his domain was weak. A domain was not the only base a man could stand on: Ōkuma Shigenobu, who directed the government’s finances, made up for Hizen’s lesser weight with the backing of the British diplomat Harry Parkes (Umegaki 1988, 114, 117–18).¹⁴ Backing the government could not touch shielded an official, wherever it came from. A ministry’s boundaries, like its posts, followed the balance among the factions rather than any plan of administration: the ministries were merged, split, and merged again down to the eve of abolition, and no authority could fix even their shape (Umegaki 1988, 117). Because its officials answered to their domains and its offices followed the balance among them, the government was not an instrument any one faction could seize and turn against the rest. It had been built to keep the victorious coalition together, and it had no authority over the victors themselves (Beasley 1989, 647).

No third party enforced this balance; its holders enforced it on one another. Between the factions, none would let another gain at its expense. Inside the ruling coalition, the same distrust ran among the victor domains that supplied the government’s leaders and troops, and it ran sharpest between Satsuma and Chōshū. Neither house would tolerate an arrangement of offices that enlarged the other’s share of the government, and neither would tolerate one that enlarged any third house’s share (Beckmann 1957, 55 n.5). When the combined ministry of finance and home affairs grew strong enough to rival the Council of State itself, its chief, the Hizen leader Ōkuma Shigenobu, became a danger to the other leaders’ standing. Ōkubo Toshimichi, a Satsuma man guarding his own position, joined Matsukata Masayoshi and Maebara Issei, the two governors who had defied that ministry, and made his own resignation the price of leaving Ōkuma in power. In August 1870 the ministry was split, and Ōkuma was given a seat on the Council of State the next month, with his duties held to finance alone (Beckmann 1957, 55 n.5; Beasley 1972, 343). The smaller domains checked the government from below. Because its only hold on most of the country was their cooperation, the government could not afford to ignore them. Their protest against Satsuma and Chōshū’s dominance forced the government to appoint councillors and nobles who came from neither of those two domains, and Iwakura Tomomi conceded in a letter of November 1870 that the government had had to hear out the smaller domains’ demand for an end to Satsuma and Chōshū’s “despotic attitudes” (Banno 2014, 50). The same wish to check Satsuma and Chōshū turned some of the government’s own leaders toward abolition itself: Tosa’s men backed the dissolution of the domains in part because it would strip Satsuma and Chōshū of the dominance their domains gave them (Beasley 1972, 344). Together these defenses did the work of the enforcer the system lacked. Any faction that tried to master the rest would have needed the court’s sanction, the reformers’ administration, the Restoration lords’ money and troops, and the daimyō’s realm all at once, and each of these was another faction’s holding, which that faction defended as its entire position. The check on any one faction was in that sense a byproduct: in defending its own holding, each faction denied every other the means of aggression. Dispersal made bargaining necessary, because no faction could impose terms on the rest; and it made bargains self-enforcing, because a faction that broke one could be punished by the others, who could each withhold something the breaker could not replace. The settlement of the domains, when it came, would have to be a bargain of exactly this kind—one that every faction could accept, that no faction could turn to its sole advantage, and that the parties themselves would enforce—and its terms had been assembling since 1869.

The first of those terms had been set in 1869 by the return of the registers, when the lords gave the formal title to their lands and people back to the throne. The surrender changed the lords’ titles while their rule went on, and it fixed what each of them would keep once his domain was gone. The surrender would have to be bought, because a taking was beyond the government’s reach. When it was proposed in 1868 that all the lords, and not the shogun alone, should surrender their lands, even lords who had backed the Restoration balked—a samurai of Echizen, voicing his lord’s view, granted that the country’s

¹³Matsukata Masayoshi, a Satsuma man, was the government-appointed governor of Hita who defied the central departments (Umegaki 1988, 115). Maebara Issei, a Chōshū man, was the government-appointed governor of Echigo who likewise refused the center’s orders (Umegaki 1988, 115).

¹⁴Ōkuma Shigenobu (1838–1922), a Hizen samurai trained first in Dutch and then in English studies, ran the new government’s finances and stood at the head of its modernizers; in later life he led a political party and held cabinet office (Umegaki 1988, 117–18; Beasley 1972, 436).

land was the ruler's land, "but even though it is the ruler's land, it would not be right for the ruler to take it into his own hands at will"—and their samurai in the government saw nothing to gain in pressing lords the coalition still needed (Beasley 1972, 329). By the end of 1868 the reformers had drawn up the alternative in outline—lords who offered up their domains would be paid in rank and stipend (Beasley 1972, 330). The return of the registers began as the reformers' project, and the lords it committed first were their own. Kido Takayoshi put the case to his daimyō at the end of 1868, and the lord's permission came grudgingly; Satsuma and Tosa were then won through their retainers in the government, Ōkubo Toshimichi and Gotō Shōjirō (Beasley 1972, 330; Umegaki 1988, 58–60). The lords had been asked not by a rival house but by their own retainers, the men who now led the government. Hizen joined, and on March 2, 1869, the four houses submitted their petition offering their land and population registers to the throne (Umegaki 1988, 60).¹⁵ The throne did not take them. The reply of the following day praised the offer and put the disposal of the realm off to a conference and to public counsel after the emperor's return to Tokyo, directing only that the registers be compiled and sent in meanwhile (*Tadayoshi-kō shiryō* 1974–80, 6:131). The court could no more dispose of the realm by itself than the reformers could, and nothing was decided for another four months.

The reformers could carry the lords, despite the divergence of interest between reformer and lord, because of how the surrender was addressed and what it left unsaid. The petition surrendered the registers to the emperor, not to any house. The emperor was in the coalition's keeping, but a lord who signed was still submitting to the throne rather than to Satsuma or Chōshū, and the four houses that ran the government had offered their own registers first. The reformers had borrowed the court's sanction to receive their own lords' submission. The petition's words asked the emperor to give what should be given and to take what should be taken, and nowhere did it say that the surrendered lands would not be granted back in fief (Umegaki 1988, 61). Many lords expected a regrant, as under the old order a lord's holding had been renewed at each succession (Jansen 2000, 54). In Satsuma and Tosa, and at the court in Kyoto, the dominant reading was that the petition prepared an imperial confirmation of the domains' rights rather than their displacement (Umegaki 1988, 60–61; Beasley 1972, 331–32). Even Kido Takayoshi, whose project the return was, recorded in his diary in March 1869 that the daimyō houses were now assured of continuing forever (Umegaki 1988, 61–62). On that reading the surrender spread. The remaining lords responded as they had when the civil war had demanded professions of allegiance, each afraid to be the last to endorse what the four had begun (Umegaki 1988, 60–61). Okayama, the first to follow, claimed that the petition's aims had been its own all along and that the four had merely moved first; by July the majority of the domains had submitted petitions of their own (Umegaki 1988, 60–61). On July 25 the government accepted the offers, reappointed each daimyō as governor (*chiji*) of the domain he had just given up, and ordered the fourteen lords who had made no offer to follow suit (Umegaki 1988, 61; Beasley 1972, 332, 335). The majority had volunteered under the pressure of one another's example; the last fourteen complied by command. The command asked of the last fourteen only what the rest of the class had already given, and it left each of them, like the rest, ruling his own domain as governor. The plan the government adopted was Iwakura Tomomi's; Kido had argued for more sweeping changes and had yielded when it was agreed that the governorships would not be made hereditary (Beasley 1972, 335). The lords' duties of vassalage now ran, through the governorships, to the emperor. Each lord held his lands by an appointment of the throne, where his fathers had held them as the house's patrimony (Beasley 1972, 335).

The signatures showed acquiescence rather than support. Ōkubo Toshimichi wrote to Iwakura Tomomi in April 1869 that "an uneasy peace prevails; the daimyo are stricken with doubt and the people are filled with confusion" (Beasley 1972, 333). When the domains' future was put to the Kōgisho, the assembly of domain representatives, in June and July of 1869, about forty domains favored converting the country outright into prefectures under imperial officials, another sixty favored the compromise that was in fact adopted—the daimyō reappointed as governors of their own lands, the samurai keeping their fiefs and stipends—and more than a hundred wanted feudalism retained in one form or another (Beasley 1972, 332–33). Satsuma's own Shimazu Hisamitsu—father of its daimyō, and long the domain's effective head—had opposed the surrender of the lords' lands from the first discussions; for him, as for lords like him, reform had never meant an attack on their own privileges (Beasley 1972, 329, 437). The settlement of July 25 could survive that sentiment because it gave the conservative

¹⁵Umegaki dates the four-domain petition to March 2, 1869. Satsuma's own compiled record dates the joint signing to the twenty-third day of the first month of Meiji 2—March 5—and the imperial reply to the twenty-fourth (*Tadayoshi-kō shiryō* 1974–80, 6:130–31).

majority most of what it asked. The daimyō ruled their own fiefs as before, now by imperial appointment (Umegaki 1988, 62). The reappointed lords went on governing the same lands, and their rule was scarcely touched (Hackett 1971, 55). The British minister in Japan wrote at the time that the change might bring the emperor little revenue and leave the daimyō much of their authority, “but henceforward they govern as *national officers*, and not for *themselves*” (Beasley 1972, 335). No holding had actually moved, the balance among the factions stood exactly as before, and a surrender begun by the ruling coalition’s own domains, on the same terms for every house, could not be read as one faction stripping the rest.

The surrender also gave the government no claim on the domains’ revenue. A year after the return, Kido Takayoshi still expected the government to live on the eight million koku of confiscated shogunal lands for another decade or two (Umegaki 1988, 62–63). But the surrender did settle the lords’ own pay. Each governor kept a tenth of his former domain’s revenue for his household, and the decrees that accompanied the acceptance merged the daimyō and the court nobles into a single hereditary nobility, the *kazoku* (Beasley 1972, 335).¹⁶ An earlier draft by Iwakura Tomomi would have had each lord forward that tenth to the throne to pay down the domains’ debts; the decree as issued let him keep it, and the debts stayed with the domains (Beasley 1972, 334–35). The revision ran in the lords’ favor. That income did not depend on a man’s keeping the governorship, nor on the domain’s survival: the reform fixed it at a tenth of former domain revenue whether or not a man went on serving as governor (Beasley 1972, 335; Ravina 1999, 203). When the first domains were dissolved in 1870 and 1871 and their lands passed to nearby prefectures, their former lords were paid the tenth as before (Umegaki 1988, 104–5). The guarantee removed the constraint that had held the class in place. Under the old order even a failing lord had held on, because his income came from the domain and surrendering the domain meant surrendering his livelihood with it. Now a lord’s income no longer depended on his domain. Giving it up cost him neither income nor rank, and it rid him of a holding that ran at a loss. The same guarantee of wealth and standing kept the daimyō from becoming a rallying point for samurai reaction (Ravina 1999, 204). The reward had been detached from the domain. What a lord would keep once his domain was gone was settled in 1869, two years before the domains were abolished.

In 1870, with their terms now fixed, the lords began to offer their domains up. From January, petitions arrived asking that whole domains be dissolved. Yoshii and Sayama petitioned on January 27; Yoshii, a house of ten thousand koku, pleaded that its costs had outgrown any means of paying them and asked the government to “extend its rule to us” (Umegaki 1988, 98, 104). That same winter Hachisuka Mochiaki of Tokushima petitioned the government to dissolve not his domain alone but all of them, arguing that only a government set above the domains could reform the stipends, balance the budgets, and finish unifying the country on terms that would let Japan meet the foreign powers as an equal—the same man who, as heir in 1867, had confessed to a British diplomat a wish to abdicate that he then had no means of carrying out (Ravina 1999, 203; Ravina 2017, 131). Ikeda Yoshinori of Tottori and Tokugawa Yoshikatsu of Nagoya—two of the ablest men of the class—urged the same course (Ravina 1999, 203; Ravina 2017, 132–33).¹⁷ By the eve of abolition thirteen domains had asked to be dissolved—nearly all petty houses, though the great northern domain of Morioka was among them. Most asked to be taken in as prefectures; a few sought merger into larger neighbors (Umegaki 1988, 97–98, 104; Jansen 2000, 347–48). Other governors kept their offices and gave up their incomes instead: in September 1870 Hosokawa Morihisa of Kumamoto asked to turn half his tenth over to the relief of his people, and offered in a second memorial to pull down Kumamoto Castle (*Daijōkan nisshi* 1870, no. 38).¹⁸ The governor of one small domain, Mori—a different house from the Mōri of Chōshū—went further and asked that his tenth be stopped altogether, so that he might serve on the salary of his governorship alone (*Daijōkan nisshi* 1871, no. 36). Twenty-eight appeals of this kind, offers of income rather than of domains, reached the government and were printed in its gazette, the *Daijōkan nisshi*, the last of them dated August 13, 1871—sixteen days before the abolition decree (Umegaki 1988, 103; *Daijōkan nisshi* 1871, no. 44). So far as the surviving record shows, the government

¹⁶The *kazoku* was the hereditary peerage created in 1869, merging the former daimyō with the Kyoto court nobility into one class ranked just below the imperial house (Beasley 1972, 335; Ravina 1999, 203).

¹⁷Ikeda Yoshinori, daimyō of Tottori and one of the ablest of his class, urged the government to dissolve the domains (Ravina 2017, 132–33; Ravina 1999, 203). Tokugawa Yoshikatsu, daimyō of Nagoya (Owari), a collateral house of the Tokugawa, pressed for dissolution despite his own lineage (Ravina 2017, 123, 132–33).

¹⁸Hosokawa Morihisa, governor of Kumamoto, a great southwestern domain, offered to give up part of his income and to pull down Kumamoto Castle (*Daijōkan nisshi* 1870, no. 38).

refused none of these offers, of domains or of incomes; it granted every petition printed before the decree (*Daijōkan nissbi* 1870, no. 38; 1871, nos. 2, 20, 36, 44). Under the Tokugawa order a lord had had nothing he could sell and no one who could buy; now there was a buyer, taking what it was offered on the terms fixed in 1869. The petitions were lords accepting what was in effect a standing offer, not lords being dispossessed. The government honored the terms publicly, in the same gazette that printed the lords' petitions. Marugame petitioned in May 1871 and was dissolved within two weeks, remade as a prefecture, and its lord was installed as that prefecture's governor (*Daijōkan nissbi* 1871, no. 20).

The government could neither tax the daimyō nor compel them; it could win their compliance only by paying for it, and it paid in the two things it held, land and rank. It was granting domains even as it received them. In the settlement after the war, having no cash to spare, it had dealt with the lords in land: it granted its allies new fiefs, settled the Tokugawa heir with one of seven hundred thousand koku, and even its punishments took the form of regrants—the defeated house of Aizu was cut to an eighth of its size and moved more than three hundred miles away (Ravina 2017, 129). Granting domains and taking them back were not opposite trends but one method. A government short of cash and without an army of its own did all its business with the lords in land and rank, because it had nothing else to pay them with. That was why the surrenders remained few and slow. The government was still paying in domains and still governing through them, down to the army it borrowed from Satsuma, Chōshū, and Tosa in March and April 1871 (Jansen 2000, 347–48; Hackett 1971, 58; Drea 2009, 23). Only the most pressed lords had reason to sell; the rest still hoped to salvage what they held (Ravina 1999, 205). The government, for its part, had no reason to stop granting. But paying the daimyō was not the same as ruling in their place. The pensions—the guaranteed tenths—and the peerage bought the lords' compliance and left the substance of rule untouched; the country's taxes and its soldiers stayed with the domains, as they had for centuries. To govern as a state, the center would have to take those—and take them from every lord at once, which was an act of a wholly different order from pensioning the willing few.

In its final year the interim government acquired that borrowed army and came near the end of its own cohesion. In the winter of 1870–71 it sent emissaries to Satsuma and Chōshū to persuade them to contribute troops (Banno 2014, 50). Yamagata Aritomo secured Satsuma's soldiers only by going in person to Kagoshima to press Saigō Takamori, Satsuma's foremost soldier, on terms that had to be negotiated; the mission sought Satsuma's troops for the government and Saigō himself back inside it (Hackett 1971, 56–57). In February 1871 Yamagata put the argument to Saigō: until an armed force stood behind the government, the Restoration remained “nominal,” and the government was “gambling with borrowed money” (Orbach 2017, 34). The Imperial Guard that resulted was drawn battalion by battalion from Satsuma, Chōshū, and Tosa in the spring of 1871, lent to the throne (Drea 2009, 23; Hackett 1971, 58).¹⁹ The reformers built their divergence from the lords into the force itself. The Guard, Yamagata told Saigō, must be men willing to “turn against the Satsuma lord if the occasion demands it,” and Saigō, himself a Satsuma retainer, answered “Of course” (Hackett 1971, 57). Still, no minister of the central government commanded the Guard in his own right; its subordination to the new army ministry was formal only (Orbach 2017, 34). In practice the battalions answered to the men who had led them in the war—Saigō above all, and the other great retainers who now sat as the government's councillors—not to the lords of the domains they came from, and the Guard could move only as those men together agreed (Orbach 2017, 34). That was the arrangement Yamagata had gone to Kagoshima to secure (Hackett 1971, 56–57). But the men the Guard obeyed carried the same dependence. Their standing came from their domains—the rule that ran through every office ran through them—and the domains' rivalry came with them. In the spring of 1871 Ōkubo Toshimichi urged his colleagues not to move too fast against the domains, since their standing came in part from speaking for their own domains (Beasley 1972, 345). By the summer the rivalry between Satsuma and Chōshū had nearly halted the government's work, and a break was averted only because the leaders recognized that their power ran through the government, and that the government ran, precariously, on the backing of their several domains (Umegaki 1988, 15). In the middle of August 1871, days before the domains were abolished, the men preparing to dissolve them were still filling the clerks' and secretaries' posts of the Council of State by private letter. Iwakura Tomomi

¹⁹The Imperial Guard (*goshinpei*), formed in 1871 from some ten thousand troops lent by Satsuma, Chōshū, and Tosa, was the central government's first armed force of its own (Jansen 2000, 347; Hackett 1971, 58). Saigō Takamori (1828–77), a Satsuma samurai, directed the domain's course with Ōkubo Toshimichi from 1864 and was the new government's foremost soldier after the Restoration. He left the government over the Korea question in 1873, headed the samurai rising of 1877, and took his own life as it collapsed (Beasley 1972, 436; Ravina 2003).

asked Ōkubo to talk an unwilling appointee into accepting office, Saigō was enlisted to help, and the man yielded in writing the next day (*Ōkubo Toshimichi monjo* 1927–29, 4:328–31). Even a clerkship needed two agreements—agreement among the leading men, and the agreement of the man appointed—just as the army had (Umegaki 1988, 118). The borrowed army, the divided leadership, and the negotiated appointments had one source, a center that lived on the domains’ backing. The same months thus produced the first force the coalition could send against a defiant domain and the clearest evidence that governing on loan could not continue. Enforcement had become possible just as waiting had become impossible. Both pointed to the same act—taking the domains’ taxes and soldiers into the center, from every lord at once, so that the center would have nothing left to borrow and no lenders left to depend on.

By the summer of 1871, two things had not changed. The realm was still parceled among the domains, which held its land, its taxes, and its soldiers as they had for two and a half centuries; and the fiscal crisis that had turned the right of rule into a burden had been deepening for the better part of two centuries. The government had inherited both conditions and created neither. The distribution of power was new. National authority was split among four factions—the court, the reformers, the Restoration lords, and the great body of the daimyō—no one of which could act alone or command the rest. The center that wanted the domains’ taxes and soldiers had no army of its own and no revenue beyond the old shogunal lands; it could not take them by force from every lord at once; it could only buy them. The price was already set and being paid. Since 1869 a lord’s income and rank had been fixed apart from his domain’s survival, and the most pressed lords had begun handing their domains back on those terms, one at a time, and the grants were printed in the government’s own gazette. The old order had put no power above the shogun to hold him to a bargain; now four factions could hold one another to one, each keeping something the rest could not do without. Whether four factions with a borrowed army and no revenue beyond the old shogunal lands could take the taxes and soldiers of two hundred and sixty domains at a single stroke—without a war, and on a promise the lords had reason to trust—was the question the abolition of the domains would answer.

4. DOMAIN ABOLITION

On August 29, 1871, an imperial decree abolished the country’s some two hundred and sixty domains and replaced them with prefectures governed from Tokyo (*haihan chiken*, the abolition of the domains and establishment of prefectures).²⁰ The lords’ side of the bargain was already settled, for each house’s income and rank had been fixed apart from its domain since 1869 (Ravina 1999, 203). The lords worst pressed by debt were already selling; thirteen domains had petitioned to be dissolved by the eve of the decree, and no surviving record shows a petition refused (Umegaki 1988, 97–98). What changed in 1871 was that the men who ran the government could take a domain without waiting to be offered one. Until that year they could accept a lord’s surrender but could not order it (Hackett 1971, 55). The Imperial Guard assembled in Tokyo that spring, and for the first time those men had soldiers they could send (Hackett 1971, 58). At the same time the government was coming apart at the top. Through the summer of 1871 its leaders quarreled over precedence and appointments, each guarding his own standing against the others, until the work of governing at times stopped altogether (Umegaki 1988, 15). Kido Takayoshi, writing on the day of the decree, looked back over the disunion of the years since the war and judged that without unity “the collapse of the nation would have come without waiting many more days” (Kido 1983, 2:65–66). The abolition would give the government the domains’ taxes, which until then it had to ask for. What Kido set against it was not the domains continuing as they were, but collapse.

Between January and August of 1871 the two greatest of the victor domains, Satsuma and Chōshū, committed themselves to abolition. Satsuma was committed by its retainers, over the objection of Shimazu Hisamitsu, who ruled the domain in his son’s name.²¹ When the court noble Iwakura Tomomi went south in the winter of 1870–71 as the emperor’s messenger to ask Satsuma and Chōshū for troops, Hisamitsu pleaded illness and sent Saigō Takamori in his place (Banno 2014, 50–51). Saigō

²⁰Haihan chiken: the imperial decree of August 29, 1871 (Meiji 4/7/14 in the lunar calendar), abolishing the domains (han) and replacing them with centrally governed prefectures (ken).

²¹Shimazu Hisamitsu (1817–87), Shimazu Tadayoshi’s father and long Satsuma’s effective head, was the most prominent conservative opponent of the Meiji reforms (Beasley 1972, 437; Ravina 2003, 170; Ravina 2017, 133).

led the battalions that came up to Tokyo that spring, and he had already promised Yamagata Aritomo that Guard troops would cease to be their domains' vassals and would march against Satsuma itself if the occasion required it (Hackett 1971, 57). Whatever Hisamitsu thought of abolition, his soldiers now stood in the capital under a man committed to it. Chōshū's commitment came from lord and retainers together. The reform party around Kido Takayoshi, the domain's leading man in the government, had run Chōshū since winning control of the domain in 1865 (Craig 1961, 318–19). The final push to end the domains altogether came not from Kido but from the party's second rank, men such as Yamagata and Inoue Kaoru now serving in the government's offices (Umegaki 1988, 71–72). Chōshū's lord, Mōri Motonori, held the same course. Kido's diary calls him a man "determined to assist the Imperial Government" and thereby "bring tranquility to the nation," and to that end Mōri petitioned the throne to dissolve Chōshū itself before the decree was drafted, with Kido working to see his own lord's petition accepted (Kido 1983, 2:63–66). The proposal for a general abolition came from these Chōshū men in the government's offices. Ōkubo Toshimichi, who with Saigō directed Satsuma's men in the government, records in his diary for August 23 that Saigō brought word of the "great decisive measure" Yamagata was urging, with Kido already in agreement; on August 24 the Satsuma and Chōshū leaders—among them Ōkubo, Yamagata, Inoue, and Saigō with his younger brother Tsugumichi—settled how it would be done, at Kido's house (*Ōkubo Toshimichi monjo* 1927–29, 4:339–42; Beasley 1972, 347). Word had gone neither to the leaders of Tosa nor to the court nobles. Two domains had settled the fate of all two hundred and sixty; bringing in Tosa and Hizen took the next three days.

Abolition would move every domain's taxes and soldiers into the central government's hands, so whichever houses controlled that government would inherit what all two hundred and sixty domains gave up—and a government of Satsuma and Chōshū men alone would have gained exactly the mastery the other factions had feared since 1868 (Gordon 2003, 61). On August 27 Kido Takayoshi therefore demanded that the councillorships (*sangi*) of the *Daijōkan*—the Council of State, the government's highest organ, whose deliberating councillors sat directly beneath the court nobles at its head—be drawn from all four of the victor domains: the Tosa leader Itagaki Taisuke and Ōkuma Shigenobu of Hizen seated beside Saigō Takamori and Kido himself, with Ōkubo Toshimichi reappointed as well, so that the government taking the domains over would be held not by the two greatest houses but by all four (*Ōkubo Toshimichi monjo* 1927–29, 4:338; Beasley 1972, 336–37, 347). On August 26 Ōkubo had settled the same offices on a different principle, promoting and demoting men across the ministries by merit as he judged it rather than seating one man from each house, and his diary records his firm wish to decline a council seat for himself; on August 27 he consented to the rest of Kido's arrangement—in his diary's reasoning, the abolition was the great matter, and the disposition of the offices was a small one not worth contesting—while keeping himself off the council and at the Finance Ministry he had headed since the reorganization of mid-August, the ministry that within weeks would absorb Civil Affairs and with it the country's domestic administration (*Ōkubo Toshimichi monjo* 1927–29, 4:338, 340–41; Beasley 1972, 346). The dispute ended with the abolition untouched and the top of the *Daijōkan* balanced: one councillor from each of the four domains—Saigō for Satsuma, Kido for Chōshū, Itagaki for Tosa, Ōkuma for Hizen (Beasley 1989, 642; Kido 1983, 2:65; *Meiji shiyō* 1886, 1:28). That same day Kido carried the finished plan with Saigō to Sanjō Sanetomi and with Ōkubo to Iwakura Tomomi—the two senior court nobles of the *Daijōkan*—and the nobles laid it before the emperor and obtained his sanction; the decree issued two days later in the emperor's name (*Ōkubo Toshimichi monjo* 1927–29, 4:338). The decree thus carried the one authority no samurai faction could supply for itself; to oppose an act done in the emperor's name was to offend against the throne itself (Beasley 1989, 624). Satsuma, Chōshū, Tosa, and Hizen were abolished on exactly the terms applied to the rest, so no house came out of it holding a domain the others had lost (Beasley 1972, 347). That was what the Tosa men had wanted from a general abolition: the same check on their Satsuma and Chōshū colleagues that Tosa had sought earlier through proposals for an assembly of the domains (Beasley 1972, 344).

None of the two hundred and sixty lords resisted the decree (Ravina 2017, 134). On August 29 the fifty-six governors then in Tokyo were called before the emperor, the decree was read to them, and their offices were ended in his presence; the governors still in their domains learned only the next day, through their agents in the capital, and were ordered to Tokyo by the autumn (*Meiji shiyō* 1886, 1:27; Kido 1983, 2:65; Beasley 1972, 347; Gordon 2003, 63). A lord in his province therefore met the abolition as an accomplished act. His office was already gone, his income and rank stood untouched, and the governors in Tokyo had already submitted. The office itself was the throne's to end. Each lord had governed since 1869

as the emperor's appointee, and the appointment had never been made hereditary; the decree dismissed the throne's own officers rather than seizing any house's patrimony (Beasley 1972, 335). Refusal would have meant raising his one domain against an imperial decree, and doing it for an office that had been costing him money to hold. The decree itself presented the abolition not as the government's seizure but as the completion of the lords' own initiative. It praised Shimazu Tadayoshi of Satsuma—the daimyō himself, son of Shimazu Hisamitsu—Mōri Motonori of Chōshū, Nabeshima Naohiro of Hizen, and Yamauchi Toyonori of Tosa for having begun the return of the registers in 1869, and commended by name the governors, Ikeda Yoshinori of Tottori and Hachisuka Mochiaki of Tokushima among them, who had petitioned for the reform (*Meiji shiryō* 1886, 1:27–28; Kido 1983, 2:65). Mōri, who days earlier had asked the throne to dissolve Chōshū itself, prostrated himself among the fifty-six as the decree was read (Kido 1983, 2:66). One man protested. Shimazu Hisamitsu, who had never consented to the surrender of 1869 and held no office the decree could end, called the abolition treason; his son, the daimyō, was among the governors it praised (Ravina 2003, 170; Ravina 2017, 133).

The terms on which the lords gave up their domains had been drafted at the end of 1868, when the government was less than a year old. The Chōshū official Itō Hirobumi set them out then, as a plan for lords who would surrender their domains: for the lord, a place in a new nobility with rank and a stipend attached; for those of his retainers fit for the work, employment in the army or the civil administration (Beasley 1972, 330). The return of the registers in 1869 carried that plan out for every daimyō in the country. On July 25, 1869, the court accepted the domains' surrenders and declared the daimyō governors of the domains they had just surrendered, each keeping a tenth of his domain's revenue for his household and a place in the new peerage, and the houses that had not offered were ordered to comply (Umegaki 1988, 61; Beasley 1972, 332, 335; Ravina 2017, 130). The settlement of 1869 left the domain itself standing. The governor still ruled it, taxed it, and kept its troops (Hackett 1971, 55). The decree of 1871 took the rest. The taxes of the former domains now belonged to the central government (Gordon 2003, 63). An order issued with the decree disbanded the domains' armies and called their weapons in to the government's army (Drea 2009, 23–24). The ships had gone earlier: that February the government took ten domain warships and two transports into its own service, with their officers and crews, more than doubling its small navy (Schencking 2005, 14). By the end of August 1871 the domains' taxes went to Tokyo and their armies were disbanded, and the only part of the old domain government still standing was the men who had staffed it.

Each lord kept the income and the rank fixed on him in 1869. The tenth of his former domain's revenue remained his, and his place in the merged nobility of court families and daimyō—the *kazoku*—remained with his house (Beasley 1972, 347; Ravina 1999, 203; Lebra 1993, 46–47). The income a lord had received before was neither as large nor as safe as it looked. The hereditary stipends of a domain's samurai had taken more than half of its spending, and those stipends together with the lord's own salary close to seventy percent, so what the lord himself received was a fifth of his domain's spending at most—and the domains in these years were spending about fifteen percent more than they took in (Nakamura 1985, 53; Ravina 1999, 205). The new tenth came out of no such accounts. It carried no stipends and did not depend on what the province collected. A contemporary account put the terms higher still: a pension of half the domain's nominal rating, fifty thousand koku or some £32,000 a year for a lord rated at a hundred thousand, against the £600 a year paid to a member of the Council of State (McLaren 1916, 79–81).²² That ratio cannot be squared with the tenth of revenue the other accounts record, and measured against those terms it overstates what a lord was paid. No account, however, makes the sum a small one: in all of them the terms were generous and left the lords wealthy (Beasley 1972, 347; Gordon 2003, 63; Ravina 1999, 204). The pensions were only part of what the settlement cost. The government took over the domains' debts, repaying the foreign creditors in coin—over five million yen by 1875—canceling part of the domestic debt, and converting the balance it assumed, more than twenty-three million yen, into its own bonds (Smith 1955, 70). It called in the domains' paper money (*bansatsu*), the notes

²² McLaren (1916, 79–81), drawing his koku-to-sterling equivalence from Alcock's account of the 1860s, describes the pension as half of a domain's nominal rating: a 100,000-koku lord receiving 50,000 koku, about £32,000 a year, against the 500 yen a month—£600 a year—paid to a member of the Council of State. The other accounts used here record the pension as a tenth of a domain's revenue, a smaller base and a smaller ratio (Beasley 1972, 335; Gordon 2003, 63; Ravina 1999, 203; Nakamura 1985, 64–65). McLaren's ratio cannot be reconciled with them and, measured against the tenth-of-revenue terms, overstates the pension. His figures are retained as a contemporary judgment of the settlement's scale. In present-day terms, converting by the U.K. retail price index from 1871 to 2025 (a factor of about 131) and to dollars at the July 2026 average exchange rate of \$1.33 to the pound, McLaren's £32,000 is roughly \$5.6 million a year, and the councillor's £600 roughly \$105,000 (Officer and Williamson, *MeasuringWorth*).

the domains had issued as a regular resort since the 1840s, and exchanged them at their market price for its own notes—a further sum of nearly twenty-three million yen (Nakamura 1985, 59). And it took over the hereditary stipend rolls of the domains' samurai, the heaviest single cost the lords had carried (Nakamura 1985, 53, 64–65). The government now owed what the domains had owed.

The decree also settled who would govern while the government wrote the rules for its new prefectures. Orders issued with it directed that the *daisanji*—the senior domain councillors who had run day-to-day administration under the lords—go on deciding routine business in each former domain as they had, and that matters of great importance go up to Tokyo for the imperial decision (*Tadayoshi-kō shiryō* 1974–80, 7:143–44; *Meiji shiryō* 1886, 1:28). The men who had governed the domains for their lords therefore went on governing the prefectures for the government in Tokyo, which had as yet no officials of its own to send. Taken as a whole, the settlement was a purchase. The price was a tenth of the old revenue to every lord, a rank for his house, the domains' debts and paper money assumed by the government, and the samurai stipends added to its budget. The government did not confiscate the rights of the old order; it bought them at that price (Smith 1955, 70). For a lord whose domain ran a deficit, and most did, giving it up ended a yearly loss. The debts, the samurai stipends, and the work of governing the province all passed to Tokyo, and the tenth he kept came to him whatever the province now cost to run. Most of the daimyō took the terms as a comfortable retirement (Gordon 2003, 63).

When the ceremonies of August 29 ended, the government owned everything the domains had surrendered, and every lord held the government's promise to pay. The promise was large, and the men now owing the money had reasons to break it. Winding up the old order—paying the pensions and the samurai stipends, and settling the domains' debts—took close to half of the government's ordinary revenue in the years from 1868 to 1876, and the pay was the heaviest part of it: the rice stipends—the lords' tenths and the samurai rolls together—had cost some ninety-five million yen by the middle of 1875 (Smith 1955, 70–71). Iwakura Tomomi, one of the two court nobles at the government's head, had already written in a memorandum of the late summer of 1870 that samurai privilege should end, because men who no longer served the state, in arms or in office, had no claim on public money for their stipends (Beasley 1972, 352). A lord could do nothing by himself if the payments stopped. His army was disbanded and his taxes went to Tokyo, and what he held in their place was a promise from a government no court could compel. Lords themselves had broken promises of this kind before: Satsuma had in effect repudiated its debts, converting them into interest-free installments spread over two hundred and fifty years, and Chōshū had quietly stopped paying a third of its own debts. Why, then, did two hundred and sixty lords believe they would go on being paid by a government that owed this much, when one of its own chiefs had already put on paper that hereditary pay without service should end—and why, once the domains were gone, did the payments not simply stop?

To stop the payments was to take the domains without paying for them, and the government had never been strong enough to take them; that weakness was the reason there had been terms at all. Nothing in the decree had cured the weakness. The decree had transferred the domains on paper, and the transfer in fact ran on for months: the taxes, the soldiers, and the offices of the former domains were still passing to the center, and they passed only because the lords cooperated. A default in the autumn of 1871 would have halted the very disarming that might one day have made a default safe, for the domains' weapons were still coming in (Drea 2009, 23–24). The castles that had commanded the provinces still stood (Gordon 2003, 63). The question is not whether the men in Tokyo had reason to stop paying. It is what stopping would have required of them.

It would have required the sellers' own hands. The pensions and the stipends were disbursed where they had always been disbursed, in the former domains, and the orders issued with the decree left that business exactly where it stood: the *daisanji*, the senior domain councillors who had run day-to-day administration under the lords, were to go on deciding routine matters as before, with weighty questions referred to Tokyo (*Tadayoshi-kō shiryō* 1974–80, 7:143–44). These were the lords' own retainers, themselves paid from the same stipend rolls, and an order to stop paying was an order they would have had to carry out against their lords, against their class, and against their own pay. The government had no means of compelling them if they declined. Nearly all its troops were the Imperial Guard's battalions, drawn from Satsuma, Chōshū, and Tosa in the spring of 1871 and lent rather than transferred: no minister commanded them in his own right, they moved as the councillors of their own domains together agreed, and they still put Satsuma, Chōshū, or Tosa before Japan (Hackett 1971, 58; Orbach

2017, 34). The four garrisons established on August 31—Tokyo, Osaka, Kumamoto, and Sendai, some eight thousand troops between them—were that same Guard in Tokyo and newly inducted conscripts elsewhere (Drea 2009, 24). The government also could not spare the work the former domains' officials were doing, for the taxes it had just taken were still being collected by them, and the governors sent out from Tokyo did not arrive for months (Gordon 2003, 63). A government that could not yet collect a tax without the sellers' clerks was in no position to stop paying the sellers.

A lord weighing all this in the autumn of 1871 also had a record to read, and nothing in it showed a promise broken. The decree abolished Satsuma, Chōshū, Tosa, and Hizen along with every other domain and on the same terms, so the men who wrote it had exempted none of their own houses (Beasley 1972, 347). Ōkubo Toshimichi had gone further with his own income, petitioning in the spring to give back the reward stipend he had earned in the war so that the money might go to the army instead, and the petition was printed in the government's gazette for anyone to read (*Daijōkan nisshi* 1871, no. 9). The houses the victors had beaten in the war had been left with incomes rather than stripped. The agreement Satsuma and Tosa signed in 1867, before the fighting began, had already provided that the shogun would resign his office and take his place among the ordinary lords; the Tokugawa heir came out of the war with a new domain of seven hundred thousand koku, larger than Chōshū or Tosa; and Aizu, which had fought to the end in the north, was granted new lands an eighth the size of the old rather than extinguished (*Ōkubo Toshimichi monjo* 1927–29, 1:482; Ravina 2017, 129). From January 1870 the government had printed the selling lords' petitions in the *Daijōkan nisshi* beside the grants that answered them—Marugame's lord asked in May 1871, his domain was dissolved within two weeks, and he was installed as governor of the prefecture that replaced it—and those lords went on receiving their tenths after their domains were gone (Umegaki 1988, 104–5; *Daijōkan nisshi* 1871, no. 20). What the government had paid for a domain, and to whom, was therefore public in the same gazette that would carry the decree.

The lords' right of rule had the structure of the transitional-gains trap: a state-created privilege whose gains had been spent generations before, leaving its holders “no better than normal” yet exposed to large losses if the privilege were terminated without compensation (Tullock 1975, 671). Two centuries of hereditary stipends, of compulsory residence at Edo, and of a tax base fixed while prices moved had used up whatever the first holders gained, and by the 1860s most domains cost their lords more each year than they brought in (Nakamura 1985, 53; Ravina 1999, 205). A lord whose domain lost money would sell it for less than a solvent lord would. The pensions and the assumed debts came to a great deal of money measured against the revenue the government had before the decree, but the same decree handed it the taxes of every domain in the country (Smith 1955, 70–71; Gordon 2003, 63). Tullock saw two escapes from such traps and dismissed both: to buy the holders out, which ordinarily founders on the transaction costs of arranging the purchase and the politics of paying it; and to abolish every privilege at once, with each holder repaid in kind by the removal of everyone else's privileges, which he judged politically impractical (Tullock 1975, 672, 678). The *haihan chiken* did both at once. On August 29, 1871, a single decree ended the right of rule of every lord in the country, and every lord was paid for it, on terms published two years earlier. In Japan the price was within reach; the obstacle was the buyer. The buyer here is a sovereign, and no court stands above a sovereign to make it pay what it promised; unless the promise somehow binds the sovereign, the holders will not sell, and the arrangement stands (Acemoglu 2003, 620, 643–44). Under the shoguns nobody could hold the ruler to a bargain, and in two and a half centuries no domain ever changed hands by sale.

In 1871 the promise bound the government not because its leaders meant to keep it but because stopping the payments required work from the very men who would lose their pay by it. The leaders could have gone on paying the four great houses and stopped paying the small ones, and the same obstacle stood in the way: the small lords' pensions were disbursed by the same *daisanji*, in the same provinces, whose cooperation the government still needed. Little would have been saved in any case, since most of the settlement's cost was the samurai rolls rather than the lords' tenths (Nakamura 1985, 53). The small lords, besides, held their grants under the same decree and on the same terms as everyone else, printed in the government's gazette, so revoking some grants while continuing to pay others would have announced to the domains lending battalions to the Guard, and to the samurai still on the stipend rolls, that a printed grant could be revoked. The stipends were eventually cut, but only when the men who would lose by it held nothing the government still needed. By 1876 conscripts filled the garrisons and appointed governors ran the prefectures; in that year the government converted the samurai's stipends and

the lords' pensions alike into bonds. Where power is divided among men who each hold something the others cannot do without, they hold one another to their bargains, and no outside enforcer is needed (Salter and Young 2019, 1245). The dispersal of power that had left the government too weak to take the domains made its promise to pay for them credible.

The first objection to this account is that the lords gave in to force rather than to the terms. The government's leaders had certainly prepared force. At the meeting of August 24 they agreed that Saigō Takamori would hold himself ready to crush any resistance (Beasley 1972, 347). On August 31 the country was divided among four garrisons—Tokyo, Osaka, Kumamoto, Sendai—about eight thousand troops in all; the Imperial Guard formed the Tokyo garrison, and conscripts filled the rest (Drea 2009, 24). The new army, still untried, outmatched the forces of any one domain (Gordon 2003, 63). The leaders expected a violent reaction and got none (Ravina 2017, 134). Force does not explain that. Eight thousand troops, in four garrisons, could put down one domain in revolt; they could not stand over two hundred and sixty at once. And what the decree required of the lords was not surrender but cooperation: taxes collected and sent on to Tokyo, soldiers stood down, domain officials kept at their desks through the autumn. That kind of compliance has to be given rather than taken. The army determined what fighting would cost a lord; the pensions determined what he had left to fight for.

The second objection rests on Shimazu Hisamitsu, the one man of his class who denounced the decree. Satsuma's treasury had come through the crisis: it had repudiated its debts a generation earlier and rebuilt its finances, so its lordship was not the losing proposition that most of the class held. Solvency by itself did not make a lord an opponent; Chōshū's finances had also survived, and Chōshū complied (Craig 1961, 47–48). Satsuma's strength was of a different order; it alone was still strong enough to stand as an alternative to the centralized state (Ravina 2003, 162–63). Satsuma's right of rule had kept its value, and Hisamitsu objected to losing it; for most of the class the same right had become a burden, and its holders took the pension offered for it. His objection went back to 1869. The petition surrendering the registers had nowhere said that the lands would not be granted back, and in Satsuma the dominant reading had been that it prepared a confirmation of the houses' rights rather than their displacement; Hisamitsu had opposed the surrender itself from the first (Umegaki 1988, 60–61; Beasley 1972, 329, 331–32). The decree of 1871 was the other reading carried out. The protest also failed. Satsuma's battalions stood in Tokyo under Saigō Takamori, and Satsuma's own men staffed the government Hisamitsu was denouncing (Ravina 2017, 133). In late 1871 Hisamitsu pressed to be made governor of the prefecture that had replaced his domain, and Saigō blocked his lord's bid through back channels (Ravina 2003, 176). The next summer Hisamitsu demanded that his own retainers Ōkubo Toshimichi and Saigō be dismissed from the government (Ravina 2003, 177). Neither man left office. The one house with the strength to oppose the settlement could not move even its own retainers.

The third objection credits the foreign powers. On this account the threat from abroad forced Japan to centralize, and the abolition of the domains was how it was done (Koyama, Moriguchi, and Sng 2018, 180). The decree's own opening names two aims, to secure the people within and to stand against the nations of the world without (*Tadayoshi-kō shiryō* 1974–80, 7:143). The threat was real, and it explains why the men who made the government wanted a centralized state. It does not explain why the transfer of the domains was peaceful. Japan had just fought a civil war between rival claimants to national authority, and the threat from abroad had borne on both sides of that war. A model in which foreign pressure drives centralization cannot say, by its authors' own account, whether the shogunate or the coalition against it would emerge victorious (Koyama, Moriguchi, and Sng 2018, 194). Foreign pressure could not settle which Japanese would do the centralizing, and it could not settle what the daimyō would be given for their domains. Those two questions were settled at home, and by 1871 the answers were in place: no faction could gain by fighting the others, and no lord could gain by keeping a domain that cost him money.

The central government was rebuilt in the weeks after the decree, and the same four domains and the court held its top seats afterward. On September 13, 1871, the *Daijōkan* was reorganized into three chambers, its supreme chamber seating the court nobles Sanjō Sanetomi as Grand Minister and Iwakura Tomomi as Minister of the Right above the four councillors—one from each victor domain—while the ministries below were run in practice by samurai of lower rank (*Meiji shiryō* 1886, 1:31; Beasley 1989, 641–42; Ravina 2017, 133–34). Within months half of that leadership left the country. On December 23, 1871, Iwakura sailed for the United States and Europe at the head of an embassy that took Ōkubo Toshimichi, Kido Takayoshi, and Itō Hirobumi abroad with him for nearly two years, to sound out revision of the unequal treaties and to study the institutions

of the Western powers (Beasley 1972, 368–69; Nish 1998, 1–2). Chōshū and Satsuma each lost a leader to the embassy, and for nearly two years the government was run by the men left behind—Saigō Takamori for Satsuma, Itagaki Taisuke for Tosa, Ōkuma Shigenobu for Hizen, under Sanjō. Before the embassy sailed, the leaders bound themselves by written pledge to make no new appointments and start no new reforms until it returned, fearing that the half-emptied government would otherwise come apart, and the caretakers they left behind were themselves drawn from the four domains and the court (Umegaki 1988, 164–65). No one took the government over in their absence. The ministries below the caretakers did push ahead with reforms the absent men had not approved, and that was the quarrel waiting for the travelers when they came home (Umegaki 1988, 165–68). Whether a balance among four domains could outlast the domains themselves was the question the rest of the decade would answer.

The sharpest test of the settlement is what became of the promise afterward. The men who made the settlement of 1871 pensioned the lords and took the retainers' stipends onto the government's books at their existing rates; what would eventually become of those stipends, and of the swords the samurai still wore, they left for another day. Deferring those questions helped keep the peace in 1871 (Ravina 2017, 134–35). The men who deferred them had not left the answer open: in the months after the decree the government's leaders drew up among themselves a rough agreement that the stipends would eventually be dissolved, and Yoshida Kiyonari, a vice-minister of finance, held that they ought to be forfeited without any compensation at all (Nakamura 1985, 60–61). Giving the answer took five years, because the men who would give it checked one another. A plan of March 1872 to dissolve the stipends at a single stroke had Saigō Takamori's enthusiastic agreement, and it was suspended when Iwakura Tomomi and Kido Takayoshi objected from abroad and the Satsuma men in the government feared the opposition of Shimazu Hisamitsu (Nakamura 1985, 61; Ravina 2017, 181). After the councillors who had pressed for a Korean expedition and lost—Saigō and Etō Shinpei among them—resigned in October 1873, the Council of State settled only tentative measures: from December it taxed the stipends on a progressive scale and invited holders of less than a hundred koku to convert theirs into cash and bonds, and it extended the invitation to every holder the next November (Nakamura 1985, 61–62). In March 1876 the government banned the wearing of swords (Nakamura 1985, 67). In August it made the conversion compulsory and replaced every hereditary stipend, the former lords' pensions included, with interest-bearing government bonds; Kido had opposed the plan's severity toward the largest holders, delaying the act and improving its final terms for them, while the terms for the smallest were pared down (Gordon 2003, 65; Smith 1955, 70; Nakamura 1985, 63). By then the conditions of 1871 no longer held. In every prefecture but Kagoshima, the former domain councillors had given way within months to governors sent from Tokyo, and conscripts had filled the garrisons from the start (Gordon 2003, 63; Beasley 1972, 349; Drea 2009, 24). By 1876 the government no longer governed through the men it was paying.

Yet the conversion treated the two classes exactly as the settlement of 1871 had treated them. Its rates favored neither class: the act exchanged every stipend for bonds worth five to fourteen years of the income they replaced, at five to seven percent interest, and both the years and the rate fell, band by band, as the stipend rose—the smallest stipends were capitalized at fourteen years and seven percent, and the lords' pensions were capitalized at five to seven and a half years and five percent, the deepest proportional cut on the schedule (Ravina 2017, 181; Nakamura 1985, 63–64). The difference between the classes lay in the incomes the schedule capitalized. A lord's pension had been fixed in 1869 at a tenth of his former domain's revenue; the retainers' stipends were already more than a third smaller, in the aggregate, than they had been before the Restoration, cut under the domains' own reforms (Nakamura 1985, 56–57). Capitalizing the one produced fortunes: the 519 holders in the top band, most of them former lords, received bonds averaging 60,527 yen, and the 67 greatest houses took more than 100,000 yen each, capital that kept them among the richest men in the country (Nakamura 1985, 63–64). The former lords and the court nobles pooled that capital into the Fifteenth National Bank—organized with Iwakura Tomomi's help, closed to samurai and commoners alike—and the bank lent the Ministry of Finance fifteen million yen (Nakamura 1985, 66). Capitalizing the other produced poverty: the 262,317 holders in the bottom band received bonds averaging 415 yen, and the 29 yen of interest such a bond paid in a year would feed one person and not a family (Nakamura 1985, 64). Nobody had bought anything from the samurai.

The risings that followed the tax, the ban, and the conversion came from the samurai and not from the lords. Etō Shinpei, who had resigned over Korea, rose at Saga in February 1874 with twenty-five hundred men who demanded their daimyō

reinstated and their stipends restored (Gordon 2003, 85–86; Ravina 2017, 189–90). In October 1876, within three months of the compulsory conversion, samurai rose at Kumamoto, at Akizuki, and at Hagi (Ravina 2017, 195; Nakamura 1985, 74). The samurai had held no seat among the four factions, because every such seat rested on a holding the others could not replace—the court’s sanction, the reformers’ administration, the lords’ troops and taxes and lands—and the samurai held no such thing. They held only a claim—a hereditary right to be paid from their lords’ storehouses, the right of salaried men (Gordon 2003, 62). In 1871 the samurai could act as a class only through the retainer bands their own lords commanded, so anything the class might have brought to the bargaining reached it through the daimyō—the very men being paid to retire (Vlastos 1989, 385). The ablest of them, meanwhile, were being taken one by one into the ministries, the Guard, and the prefectures, which put them on the government’s payroll before it came to cutting their class’s pay (Gordon 2003, 63). When the domains dissolved, some four hundred thousand samurai households were left as separate creditors of the state (McLaren 1916, 79–80).

When the samurai’s stipends were cut in 1876, the men who lost by it had no domains to act through: the abolition had broken up the retainer bands in which warriors had always organized (Vlastos 1989, 385). They held nothing the government still needed, and so they had no way to make it keep paying them. One war followed, from Satsuma in 1877, and putting it down cost close to a year’s ordinary government spending (Ericson 2020, 13). That one domain, in revolt, cost about a year’s spending; in 1871 two hundred and sixty domains had given up their armies and their taxes without a shot fired. The 1871 abolition and the 1876 conversion ended hereditary privileges alike, but on opposite terms. The lords were paid generously, and the men who would have had to stop paying them were their own. The samurai were paid off with bonds most of them could not live on, and they had no such men anywhere.

That war could come only from Kagoshima, because in the months after the decree the government took from every other domain the means of making one. The former governors, called to Tokyo at the decree, were ordered before the end of 1871 to reside there, away from the provinces they had ruled (Beasley 1972, 349). Many of the castles that had commanded those provinces were dismantled (Gordon 2003, 63). The interim under the *daisanji* was short. Governors sent from the center arrived within months, most of them samurai of middle rank from the victor domains rather than former daimyō, and rarely men of the provinces they came to govern (Gordon 2003, 63; Jansen 2000, 349). By January 1872 the three hundred and two prefectures the abolition had created were merged into seventy-two, and in the merging most of the old domains vanished even as lines on the map (Beasley 1972, 349). A man who had been lord of a province a year earlier now lived in Tokyo, with no army, no castle, and no house officials in the prefecture’s senior posts—and with a pension that continued whether or not he ever saw the province again. Those measures reached every domain but one. In Kagoshima the prefecture stayed in the hands of Satsuma men, none of these measures was pressed, and the prefecture kept an independence no other was allowed; Satsuma was treated as a special case, on account of its history of samurai unrest (Beasley 1989, 645; Vlastos 1989, 400).

The record between the decree and the war runs against all three objections. The army of 1871—eight thousand troops in four garrisons—could put down one domain in revolt and could not have stood over two hundred and sixty at once, and the cooperation the decree required of the lords was given rather than taken. Shimazu Hisamitsu, the one man of his class who had denounced the decree, could not move even his own retainers against it, in 1871 or in the years after. The threat from abroad gave the men in Tokyo their reason to want a centralized state and set none of the terms on which the lords gave up their domains; the terms were set at home in 1869, and what a man kept in 1876 still followed from them.

The dispersal of power that had made the government’s promise credible did not outlast the settlement; the settlement dismantled it. The orders issued with the decree disbanded the domains’ armies and called their weapons in to the government’s army; the former governors were ordered before the end of 1871 to reside in Tokyo; conscripts filled the garrisons from the start, and governors sent from the center replaced the domain councillors within months in every prefecture but Kagoshima. Every one of those measures carried out the bargain; every one also left the government less dependent on the men it was paying. By 1876 the government depended on no one who would lose by revising the settlement’s terms, and it revised them for both classes at once. Dispersed power explains why the domains passed to the center by purchase rather than seizure and why the sellers believed the price would be paid; it does not hold a government to its promise once the dispersal is gone, and

after 1876 nothing outside the government held it to anything. The government's promise had been credible in 1871 because the men it was made to could punish a breach; the settlement those men accepted took the power to punish from them step by step; and they kept what they had been paid. —

5. CONCLUSION

The peaceful abolition of Japan's domains was not merely an episode of elite compliance but a Coasean bargain between the Meiji state and the *daimyo*. Although this paper has framed domain abolition as arising as a rational bargain between two elite groups. Reality is obviously messier than that. However, by analyzing this period through a PCT framework, we begin to understand how gains from trade arise in the first place between two armed elite groups and how this mutually beneficial trade was expected to happen. Both the Meiji government and the domain lords faced fiscal crises, which lowered the economic value of their political property rights. This helped avoid a transitional gains trap as both sides stood to gain from a reallocation of these political property rights. However, a credible commitment is still necessary to ensure that a beneficial trade actually occurs.

Through the credible promise of political incorporation and status preservation, the central government overcame the commitment problem that typically undermines applications of the Political Coase Theorem. The *kazoku* peerage system was the institutional mechanism that made this credible. By lowering transaction costs and aligning the interests of former regional rulers with the new central state, Meiji Japan achieved what most polities in transition fail to do: a rapid, peaceful, and mutually beneficial consolidation of political power. This paper provides an historical example of a successful application of the Political Coase theorem, proving that credible commitment problems can be resolved so long as the gains from trade are large. Hopefully, by analyzing Meiji Japan, one of the most striking episodes of political and economic development, further research can understand the institutional mechanisms that help foster political and economic development.

REFERENCES

- Acemoglu, Daron. 2003. Why Not a Political Coase Theorem? Social Conflict, Commitment, and Politics. *Journal of Comparative Economics* 31, no. 4: 620–52.
- Acemoglu, Daron, and James A. Robinson. 2006. *Economic Origins of Dictatorship and Democracy*. Cambridge: Cambridge University Press.
- Balestri, Chiara. 2016. On the Inefficiency of Political Exchange. *Public Organization Review* 83, no. 1: 167–78.
- Banno, Junji. 2014. *Japan's Modern History, 1857–1937: A New Political Narrative*. Translated by J. A. A. Stockwin. London: Routledge.
- Bates, Robert H., and Da-Hsiang Donald Lien. 1985. A Note on Taxation, Development, and Representative Government. *Politics & Society* 14, no. 1: 53–70.
- Beasley, W. G. 1960. Feudal Revenue in Japan at the Time of the Meiji Restoration. *Journal of Asian Studies* 19, no. 3: 255–72.
- Beasley, W. G. 1972. *The Meiji Restoration*. Stanford, Calif.: Stanford University Press.
- Beasley, W. G. 1989. Meiji Political Institutions. In *The Cambridge History of Japan, Volume 5: The Nineteenth Century*, edited by Marius B. Jansen, 618–73. Cambridge: Cambridge University Press.
- Beckmann, George M. 1957. *The Making of the Meiji Constitution: The Oligarchs and the Constitutional Development of Japan, 1868–1891*. Lawrence: University of Kansas Press.
- Bolitho, Harold. 1989. The Tempō Crisis. In *The Cambridge History of Japan, Volume 5: The Nineteenth Century*, edited by Marius B. Jansen, 116–67. Cambridge: Cambridge University Press.
- Breen, John. 1996. The Imperial Oath of April 1868: Ritual, Politics, and Power in the Restoration. *Monumenta Nipponica* 51, no. 4: 407–29.
- Craig, Albert M. 1957. Financial Affairs of the Satsuma Domain. *Far Eastern Quarterly* 16, no. 4: 441–50.
- Craig, Albert M. 1961. *Chōshū in the Meiji Restoration*. Cambridge, Mass.: Harvard University Press.
- Crawcour, E. Sydney. 1989. Economic Change in the Nineteenth Century. In *The Cambridge History of Japan, Volume 5: The Nineteenth Century*, edited by Marius B. Jansen, 569–617. Cambridge: Cambridge University Press.
- Daijōkan nishshi* [Journal of the Council of State]. 1868–77. Tokyo: Daijōkan.
- Drea, Edward J. 2009. *Japan's Imperial Army: Its Rise and Fall, 1853–1945*. Lawrence: University Press of Kansas.
- Ericson, Steven J. 2020. *Financial Stabilization in Meiji Japan: The Impact of the Matsukata Reform*. Ithaca, N.Y.: Cornell University Press.
- Galiani, Sebastian, Gustavo Torrens, and Maria Lucia Yanguas. 2014. The Credibility Thesis Meeting the Coase Theorem in Terms of Form and Function. *Land Use Policy* 147: 107335.
- Garfias, Francisco. 2019. Elite Coalitions, Limited Government, and Fiscal Capacity Development: Evidence from Bourbon Mexico. *Journal of Politics* 81, no. 1: 94–111.
- Gordon, Andrew. 2003. *A Modern History of Japan: From Tokugawa Times to the Present*. New York: Oxford University Press.
- Greif, Avner. 2006. Family Structure, Institutions, and Growth: The Origins and Implications of Western Corporations. *American Economic Review* 96, no. 2: 308–12.
- Greif, Avner, Paul Milgrom, and Barry R. Weingast. 1994. Coordination, Commitment, and Enforcement: The Case of the Merchant Guild. *Journal of Political Economy* 102, no. 4: 745–76.
- Hackett, Roger F. 1971. *Yamagata Aritomo in the Rise of Modern Japan, 1838–1922*. Cambridge, Mass.: Harvard University Press.
- Holcombe, Randall G. 2018. The Coase Theorem, Applied to Markets and Government. *The Independent Review* 23, no. 2: 249–66.
- Howell, David L. 2024. Regional Authority during the Tokugawa Period. In *The New Cambridge History of Japan, Volume II: Early Modern Japan in Asia and the World, c. 1580–1877*, edited by David L. Howell, 97–127. Cambridge: Cambridge University Press.
- Jansen, Marius B. 1989. The Meiji Restoration. In *The Cambridge History of Japan, Volume 5: The Nineteenth Century*, edited by Marius B. Jansen, 308–66. Cambridge: Cambridge University Press.
- Jansen, Marius B. 2000. *The Making of Modern Japan*. Cambridge, Mass.: Harvard University Press.

- Kido Takayoshi. 1983. *The Diary of Kido Takayoshi*. 3 vols. Translated by Sidney Devere Brown and Akiko Hirota. Tokyo: University of Tokyo Press.
- Komuro, Masamichi, and Bettina Gramlich-Oka. 2024. The Tokugawa Economy: Of Rulers, Producers, and Consumers. In *The New Cambridge History of Japan, Volume II: Early Modern Japan in Asia and the World, c. 1580–1877*, edited by David L. Howell, 267–95. Cambridge: Cambridge University Press.
- Koyama, Mark, Chiaki Moriguchi, and Tuan-Hwee Sng. 2018. Geopolitics and Asia's Little Divergence: State Building in China and Japan after 1850. *Journal of Economic Behavior and Organization* 155: 178–204.
- Lai, Lawrence W. C. 2024. The Credibility Thesis Meeting the Coase Theorem in Terms of Form and Function. *Land Use Policy* 147: 107335.
- Lebra, Takie Sugiyama. 1993. *Above the Clouds: Status Culture of the Modern Japanese Nobility*. Berkeley: University of California Press.
- Leeson, Peter T., and Paola A. Suarez. 2016. An Economic Analysis of Magna Carta. *International Review of Law and Economics* 47: 40–46.
- Matsumoto, Tomoko, and Tetsuji Okazaki. 2023. Elite Mobility and Continuity during a Regime Change. *British Journal of Sociology* 74, no. 2: 205–21.
- McLaren, Walter Wallace. [1916] 1965. *A Political History of Japan during the Meiji Era, 1867–1912*. London: Frank Cass.
- Medema, Steven G. 2020. The Coase Theorem at Sixty. *Journal of Economic Literature* 58, no. 4: 1045–128.
- Meiji shiyō* [Essentials of Meiji history]. 1886. Compiled by the Bureau of Historiography. Tokyo.
- Morck, Randall, and Masao Nakamura. 2007. Business Groups and the Big Push: Meiji Japan's Mass Privatization and Subsequent Growth. *Enterprise & Society* 8, no. 3: 543–601.
- Munger, Michael. 2017. Tullock and the Welfare Costs of Corruption: There Is a “Political Coase Theorem.” *Public Choice* 83, no. 1: 83–100.
- Nakamura, Satoru. 1985. National Unification and Land Reform in the Modernization Process of Japan (2): Haihan Chiken, Chitsuroku Shobun and Chiso Kaisei at the Time of the Meiji Ishin. *Kyoto University Economic Review* 55, no. 2: 53–77.
- Nish, Ian, ed. 1998. *The Iwakura Mission in America and Europe: A New Assessment*. Richmond, Surrey: Japan Library.
- Nishikawa, Shunsaku, and Masatoshi Amano. 2004. Domains and Their Economic Policies. In *The Economic History of Japan, 1600–1990, Volume 1: Emergence of Economic Society in Japan, 1600–1859*, edited by Akira Hayami, Osamu Saitō, and Ronald P. Toby, 247–67. Oxford: Oxford University Press.
- North, Douglass C., and Barry R. Weingast. 1989. Constitutions and Commitment: The Evolution of Institutions Governing Public Choice in Seventeenth-Century England. *Journal of Economic History* 49, no. 4: 803–32.
- Officer, Lawrence H., and Samuel H. Williamson. n.d. *Measuring Worth*. At <https://www.measuringworth.com>.
- Oka, Yoshitake. 1986. *Five Political Leaders of Modern Japan: Itō Hirobumi, Ōkuma Shigenobu, Hara Takashi, Inukai Tsuyoshi, and Saionji Kimmochi*. Tokyo: University of Tokyo Press.
- Ōkubo Toshimichi monjo* [The papers of Ōkubo Toshimichi]. 1927–29. 10 vols. Tokyo: Nihon Shiseki Kyōkai.
- Orbach, Danny. 2017. *Curse on This Country: The Rebellious Army of Imperial Japan*. Ithaca, N.Y.: Cornell University Press.
- Paramore, Kiri. 2024. Politics and Political Thought in the Mature Early Modern State in Japan, 1650–1830. In *The New Cambridge History of Japan, Volume II: Early Modern Japan in Asia and the World, c. 1580–1877*, edited by David L. Howell, 58–96. Cambridge: Cambridge University Press.
- Piano, Ennio E., and Alexander W. Salter. 2021. The Fundamental Coase of Development: Property Rights Foundations of the Effective State. *Journal of Institutional Economics* 17, no. 1: 37–52.
- Ravina, Mark. 1999. *Land and Lordship in Early Modern Japan*. Stanford, Calif.: Stanford University Press.
- Ravina, Mark. 2003. *The Last Samurai: The Life and Battles of Saigō Takamori*. Hoboken, N.J.: John Wiley and Sons.
- Ravina, Mark. 2017. *To Stand with the Nations of the World: Japan's Meiji Restoration in World History*. New York: Oxford University Press.
- Roberts, Luke S. 1998. *Mercantilism in a Japanese Domain: The Merchant Origins of Economic Nationalism in Eighteenth-Century Tosa*. Cambridge: Cambridge University Press.
- Robson, Alex. 2014. Transaction Costs Can Encourage Coasean Bargaining. *Public Choice* 160, no. 3: 539–49.
- Salter, Alexander William. 2015a. Rights to the Realm: Reconsidering Western Political Development. *American Political Science Review* 109, no. 4: 725–34.

- Salter, Alexander William. 2015b. Sovereignty as Exchange of Political Property Rights. *Public Choice* 165, no. 1: 79–96.
- Salter, Alexander William, and Andrew T. Young. 2019. Polycentric Sovereignty: The Medieval Constitution, Governance Quality, and the Wealth of Nations. *Social Science Quarterly* 100, no. 4: 1241–53.
- Schencking, J. Charles. 2005. *Making Waves: Politics, Propaganda, and the Emergence of the Imperial Japanese Navy, 1868–1922*. Stanford, Calif.: Stanford University Press.
- Silberman, Bernard S. 1964. *Ministers of Modernization: Elite Mobility in the Meiji Restoration, 1868–1873*. Tucson: University of Arizona Press.
- Silberman, Bernard S. 1966. Criteria for Recruitment and Success in the Japanese Bureaucracy, 1868–1900. *Economic Development and Cultural Change* 14, no. 2: 158–73.
- Smith, Thomas C. 1955. *Political Change and Industrial Development in Japan: Government Enterprise, 1868–1880*. Stanford, Calif.: Stanford University Press.
- Smith, Thomas C. 1958. The Land Tax in the Tokugawa Period. *Journal of Asian Studies* 18, no. 1: 3–19.
- Spence, Michael. 1973. Job Market Signaling. *Quarterly Journal of Economics* 87, no. 3: 355–74.
- Tadayoshi-kō shiryō* [Historical materials on Lord Tadayoshi]. 1974–80. 7 vols. Kagoshima-ken shiryō series. Compiled by the Kagoshima Prefecture Restoration Historical Materials Compilation Office. Kagoshima: Kagoshima Prefecture.
- Takane, Masaaki. 1981. *The Political Elite in Japan: Continuity and Change in Modernization*. Berkeley: Institute of East Asian Studies, University of California.
- Tsurutani, Taketsugu. 1973. Political Leadership: Some Tentative Thoughts from Early Meiji Japan. *Pacific Affairs* 45, no. 2: 193–217.
- Tullock, Gordon. 1975. The Transitional Gains Trap. *Bell Journal of Economics* 6, no. 2: 671–78.
- Umegaki, Michio. 1988. *After the Restoration: The Beginning of Japan's Modern State*. New York: New York University Press.
- Vlastos, Stephen. 1989. Opposition Movements in Early Meiji, 1868–1885. In *The Cambridge History of Japan, Volume 5: The Nineteenth Century*, edited by Marius B. Jansen, 367–431. Cambridge: Cambridge University Press.
- Weingast, Barry R. 1997. The Political Foundations of Democracy and the Rule of Law. *American Political Science Review* 91, no. 2: 245–63.
- Yamada, Masahiro. 2022. Making Reform and Stability Compatible with Each Other: Elite Redeployment in Meiji Japan. *Journal of Institutional Economics* 18, no. 5: 861–75.
- Yamamura, Kozo. 1974. *A Study of Samurai Income and Entrepreneurship: Quantitative Analyses of Economic and Social Aspects of the Samurai in Tokugawa and Meiji Japan*. Cambridge, Mass.: Harvard University Press.
- Yamamura, Kozo. 1986. The Meiji Land Tax Reform and Its Effects. In *Japan in Transition: From Tokugawa to Meiji*, edited by Marius B. Jansen and Gilbert Rozman, 382–99. Princeton, N.J.: Princeton University Press.

A.1 POLITICAL PROPERTY RIGHTS AND THE STRUCTURE OF ELITE BARGAINING

This paper applies the Political Coase Theorem to explain peaceful domain abolition by modeling the 1871 domain abolition as a bargain over political property rights between two elite groups: the central government and the regional domain rulers (the *daimyo*). We follow the constitutional political economy literature (cf. Salter 2015a, 2015b; Piano and Salter 2021; Salter and Young 2019) in defining a political property right as a legal or customary entitlement that grants its holder a share of decision-making power in governance and specifies the costs and benefits that those decisions accrue.

In the previous political order, each *daimyo* held political property rights over territorial governance, including the authority to tax domain lands, command retainer forces, and make decisions on local policy. These rights had observable, measurable value in the tax flows from the domain, the control services provided by samurai, and the prestige and autonomy that came with regional authority. We conceptualize a *daimyo*'s bargaining power as the net present value of the political property rights he possessed. A *daimyo* with a large and productive fief, a large retainer army, and strong political legitimacy (from supporting the Meiji Restoration) held higher-valued political property rights and thus greater bargaining power. Conversely, a *daimyo* with a small fief, heavy pre-existing debt obligations, or compromised political standing held lower-valued rights and thus a weaker bargaining position.

The core problem Meiji Japan faced was achieving efficient allocation of these property rights. The central government desired monopoly control over taxation and the military, which required removing some of the *daimyo*'s political property rights, but could not afford to acquire them through open confiscation without triggering costly resistance. The *daimyo* held assets that had become economically unsustainable but remained politically valuable, for “the government’s efforts to streamline the taxation systems has always been hindered by the domains’ retention of, as part of their fiefs, villages in geographically remote areas” (Umegaki 1988, 101). Both sides thus faced incentives to bargain, where the central government would absorb the *daimyo*'s territorial governance rights in exchange for offering new political property rights through status, stipends, and access to national office, whose value depended upon continued participation in the new centralized order.

Silberman (1964, 26) documents that *han* finances had been in secular decline since at least 1750, with domain debts “rising consistently” and reform attempts repeatedly failing to reverse the trajectory. Umegaki (1988, 79) shows that domains absorbed costs as the price of demonstrating loyalty to the new Imperial order during the Boshin War, directly accelerating the depletion of treasuries that were already structurally insolvent. When the central government offered to absorb domain debts and capitalize future *daimyo* incomes into government bonds, it was offering an exit from a position that had already become a net liability (Tsurutani 1973, 208). The result was that the political rights enshrined in the domain system had become economically costly to hold even as they retained considerable political value. The central government valued these political property rights and encouraged political bargains that rearranged them, and the diminishing economic value made the domain lords receptive to such bargains.

This is a Coasean bargain in the sense of the Political Coase Theorem because both parties benefit from a reallocation of political property rights, and the critical obstacle is not the absence of gains from trade but in ensuring credible commitment. How could the *daimyo* trust that the central government would honor promises of stipends and status once they had surrendered their armies and moved to Tokyo? How could the central government credibly promise not to expropriate these former elites later when fiscal pressure mounted? Without institutional mechanisms to solve these mutual commitment problems, rational actors would defect, making peaceful bargaining implausible.

A.2 INSTITUTIONAL SOLUTION: BARGAINING POWER THROUGH *KAZOKU*

Historians have more recently (Ravina 1999; Beasley 1972; Jansen 2000) described the Meiji Restoration as the result of an elite coalition rather than a revolution from below. The domain abolition, in particular, was a bargain among elites. Our

approach builds on this by formalizing the logic of that bargain through the PCT. The *daimyo*'s willingness to cooperate depended on their bargaining power, which derived from measurable fief characteristics and political alignments. Thus, *daimyo* with more bargaining power held more valuable political property rights, requiring more compensation from the Meiji government to ensure a peaceful transition.

Institutions create credible commitment devices when they lower elite coordination costs and raise the cost of ruler default (Garfias 2019). The Meiji state's solution was to institutionalize the side payments offered to the *daimyo* by transforming informal promises into durable, rule-based entitlements that were costly to revoke. The creation of the *kazoku* peerage in 1869 performed two critical functions. First, it priced out the *daimyo*'s loss of political property rights by converting them into a new, hierarchically differentiated status system embedded in the emerging political order. Rather than offering ad hoc financial compensation, the central government offered access to national decision-making power through *kazoku* rank, stipends benchmarked to former domain wealth, and guaranteed or preferential access to governance positions. Crucially, the rank allocated to each *daimyo* reflects the present value of the political property rights he surrendered. A *daimyo* holding territory with large *kokudaka*, commanding many samurai, and enjoying strong political legitimacy transferred more valuable rights and thus should have received compensation reflecting that higher value: higher *kazoku* rank, larger stipends, and more prominent office. Conversely, a *daimyo* whose domain was indebted, militarily weak, or politically tainted transferred less valuable property rights and thus received lower-ranked titles and smaller compensatory packages.

Second, embedding these transfers in a formal, legally recognized institution increased the cost of reneging. Dismantling the *kazoku* system or reneging on stipend payments would require dismantling visible, hereditary status structures and undermine the very legitimacy institutions that the Meiji oligarchs had invested heavily in constructing. Institutionalizing side payments raised the costs of reneging above the costs of continued compliance. A promise to maintain the *kazoku* system became self-enforcing not because rulers were inherently honest but because violating it would be institutionally and politically costly.

The framework predicts that *kazoku* rank allocation correlates with observable measures of bargaining power. We identify four primary dimensions along which a *daimyo*'s bargaining power varied: (1) fief size and productivity, (2) military capacity proxied by samurai retainers, (3) debt burden of the domain, and (4) political alignment during the Boshin War. Combining these dimensions into a single measure of bargaining power, we expect the distribution of *kazoku* ranks to reflect a separating equilibrium in which the central government's rank allocation reveals its beliefs about each *daimyo*'s bargaining power. In such an equilibrium, the highest-power *daimyo* receive the highest ranks and most prestigious offices, not out of deference but because offering them inferior compensation would have made their resistance rational, making the entire settlement unstable.

The sequencing of the *kazoku*'s creation was itself a credible signal of the government's intent. Establishing the peerage in 1869—two years before the formal abolition of domains in 1871—served as a costly signal (Spence 1973) that separated the Meiji government's type: a government genuinely committed to power-sharing would incur the costs of institutionalizing side payments in advance, while a predatory government would not. The *daimyo*, observing this costly move, could rationally update their beliefs about the government's true intent, lowering their reservation value for accepting the bargain. A government intent purely on predatory conquest would have had little reason to establish a hereditary peerage before consolidating coercive power; the institutional machinery of the *kazoku*, once in place, constrained the ruler's future options and made reneging politically visible and costly.

The credibility of this signal depended critically on the institutional language through which the *kazoku* promise was communicated. Silberman (1964, 1966) and Takane (1981) establish that in the Tokugawa period, status and political power were not merely correlated but structurally fused. Silberman demonstrates that elite status was “determined primarily by birth” and that “positions in the Bakufu and *han* governments were limited almost entirely to those born in the elite strata” (Silberman 1964, 49), while Takane's quantitative index confirms that “feudal status was the only statistically identifiable factor influencing promotion to high political status” before the Restoration (Takane 1981, 156). In the Tokugawa order, a

high-status ranking was not merely honorific; it was the principal mechanism through which access to political power was allocated. By constituting the new peerage on terms that mapped directly onto the familiar *koku*-based revenue hierarchy, the Meiji government communicated its commitments in an institutional form the domain lords already understood and trusted (Lebra 1993, 53). This institutional legibility was validated in practice: Takane finds that 78 percent of those with high pre-Meiji status retained high political positions in the new government (Takane 1981, 30), and Silberman finds that the traditional upper elite continued to “consider themselves the allocators of power after 1868” (Silberman 1964, 110–11). The *kazoku* system was credible precisely because, in the short run, it accurately described political reality.

Once the *kazoku* system was created and the domains formally abolished, the interaction between the central government and *daimyo* entered an infinite-horizon repeated setting. Each year, the state collected taxes, paid stipends, and appointed offices; each year, the *kazoku* continued to support the regime through legislative participation, political legitimacy, and acquiescence to centralized authority. The 1884 Peerage Ordinance and 1889 Meiji Constitution institutionalized this repeated interaction by embedding *kazoku* privileges directly in the structure of national government: higher ranks received automatic hereditary seats in the House of Peers; lower ranks elected representatives. This constitutional entrenchment extended the effective horizon of the game to infinity, making punishment threats credible and salient. The requirement that *kazoku* reside in Tokyo further reduced monitoring costs: concentrated in the capital, former lords could observe government compliance with stipend payments, coordinate political responses, and maintain the dense social interaction that sustained reputational mechanisms. In repeated-games terms, Tokyo residence enabled the private observation and communication sufficient for cooperation via tit-for-tat strategies, so long as the state honored its obligations, the *kazoku* remained loyal; if the state attempted default, the *kazoku* could coordinate collective defection by allying with rival factions within the central government.

What sustained the credibility of these commitments within the central government itself was the structure of factional rivalry among the Restoration oligarchs. Historians of early Meiji have tended to read the Finance Department disputes, the constant reshuffling of personnel, and the “backstage negotiations” over appointments as evidence of institutional deficiency (Umegaki 1988). From a political economy standpoint, however, the same evidence is better interpreted as a system of competing veto players that structurally prevented any single faction from reneging on the *kazoku* bargain. Umegaki’s account of how officials “could derive support from their domains, from other powerful figures within the government, and even from powerful figures within the foreign diplomatic corps” (Umegaki 1988, 118) describes not dysfunction but the operation of factions each capable of punishing defection by rivals. The “constant process of conflict and forced accommodation” (Breen 1996, 419) documents functioned as a structural guarantee against unilateral expropriation: any faction that reneged on stipend promises or stripped *kazoku* of their offices would hand a coalition-building weapon to its rivals, who could mobilize the aggrieved lords against them. The shifting coalitions that frustrated contemporaries were the mechanism by which the *kazoku* bargain remained self-enforcing in the absence of formal constitutional constraints—a function that the 1889 Constitution would eventually institutionalize permanently. Incorporation into the factional system gave former domain lords a stake in the bargaining game itself, making defection from the new order less attractive than continued participation (Silberman 1964, 91).